TRADING FOUNDRY

COURSE PLAYBOOK · INTERMEDIATE · 11 LESSONS

The Trend Pullback *Strategy.*

Join strong trends at a good price — and know, objectively, when the trend has already ended.



EDUCATION ONLY — NOT FINANCIAL ADVICE. CHARTS ARE ILLUSTRATIVE, SYNTHETIC PRICE DATA.

Contents.

MODULE 1 — AN OBJECTIVE TREND

1. Why Chasing Loses — and How the Pullback Fixes It · 14 MIN
2. The Only Trend Definition You Need · 16 MIN
3. Trend Lines Drawn Properly · 15 MIN
4. Moving Averages as Trend Filters · 15 MIN

MODULE 2 — READING THE PULLBACK

5. Healthy Pullback or Start of a Reversal? · 15 MIN
6. How Deep Is a Normal Pullback? · 16 MIN

MODULE 3 — EXECUTION

7. Entry Triggers — Evidence the Pullback Is Over · 17 MIN
8. Stops, Targets and Position Size · 18 MIN
9. Multi-Timeframe Alignment · 16 MIN

MODULE 4 — KNOWING WHEN TO STOP, AND THE PLAYBOOK

10. When the Trend Ends — and Ranges Where the Strategy Fails · 16 MIN
11. Capstone — The Complete Pullback Playbook · 22 MIN

What you will be able to do

- Label any chart as uptrend, downtrend or no trend using swing structure alone, and get the same answer every time
- Draw trend lines and channels that earn their place, and use the 20/50/200 EMAs as filters rather than signals
- Tell a healthy pullback from the start of a reversal using its speed, size, candles and the last higher or lower low
- Mark the zone where a pullback is likely to end by stacking EMAs, prior structure and the 38–62% retracement
- Enter only on evidence — a rejection candle or a break of the pullback's own structure — never on arrival alone
- Place stops beyond the swing, set targets at prior highs, measured moves or fixed R multiples, and size every trade by risk
- Align a higher-timeframe trend with a lower-timeframe pullback and stand aside when the two disagree
- Recognise the structure break that ends a trend and the range conditions where the strategy must stay flat

This playbook is educational content only. It is not financial advice and nothing in it is a recommendation to buy or sell any instrument. Every chart is an illustrative training example built from synthetic price data — not a record of real market history or results. Trading foreign exchange on margin carries a high level of risk.

Why Chasing Loses — and How the Pullback Fixes It.

MODULE 1 — AN OBJECTIVE TREND · LESSON 1

Explain why entering a trend on a pullback gives you a better price, a tighter stop and a clearer reason to be wrong than chasing the move.

You have seen this happen, probably more than once. A pair starts trending. You notice it late, after a run of strong candles. It looks unstoppable, so you buy. Within a few hours price dips, your stop goes, and then — with you safely out — the trend carries on exactly as you expected.

The usual conclusion is "I was wrong". Usually you were not. Your read of direction was fine. What was wrong was the **price** you paid and the **place** you put your stop. You bought at the most stretched point of the move, and you placed your stop inside the market's normal breathing room.

This course is about fixing that. The trend pullback strategy is not clever. It does not predict tops or bottoms. It does one simple thing: it waits for a trending market to retreat, then joins the trend again when there is evidence the retreat is over. That waiting changes the entire geometry of the trade — the entry, the stop and the reward available — and it gives you a clean, objective reason to know when you are wrong.

The problem with chasing

Look at the first chart. The trend is obvious: a higher high, a higher low, then a powerful run of green candles. The chaser buys after that run, at the top of the leg.



The chaser buys after five strong green candles, at the most stretched price of the leg. A 35-pip stop sits inside the trend's normal breathing room, so an ordinary pullback takes it out — and the trend then carries on without them.

Three things went wrong, and none of them was the direction.

First, **the price was poor**. After five or six strong candles, buyers who wanted in have mostly got in. The market is stretched away from its recent average price. Statistically, that is where short-term pullbacks start, not where they end.

Second, **the stop had no meaning**. The chaser put a stop roughly 40 pips below entry because 40 pips "felt reasonable". But there was nothing at that level — no swing low, no structure, nothing whose break would prove the trend had failed. The stop sat in empty space, inside the range a normal pullback was always likely to cover.

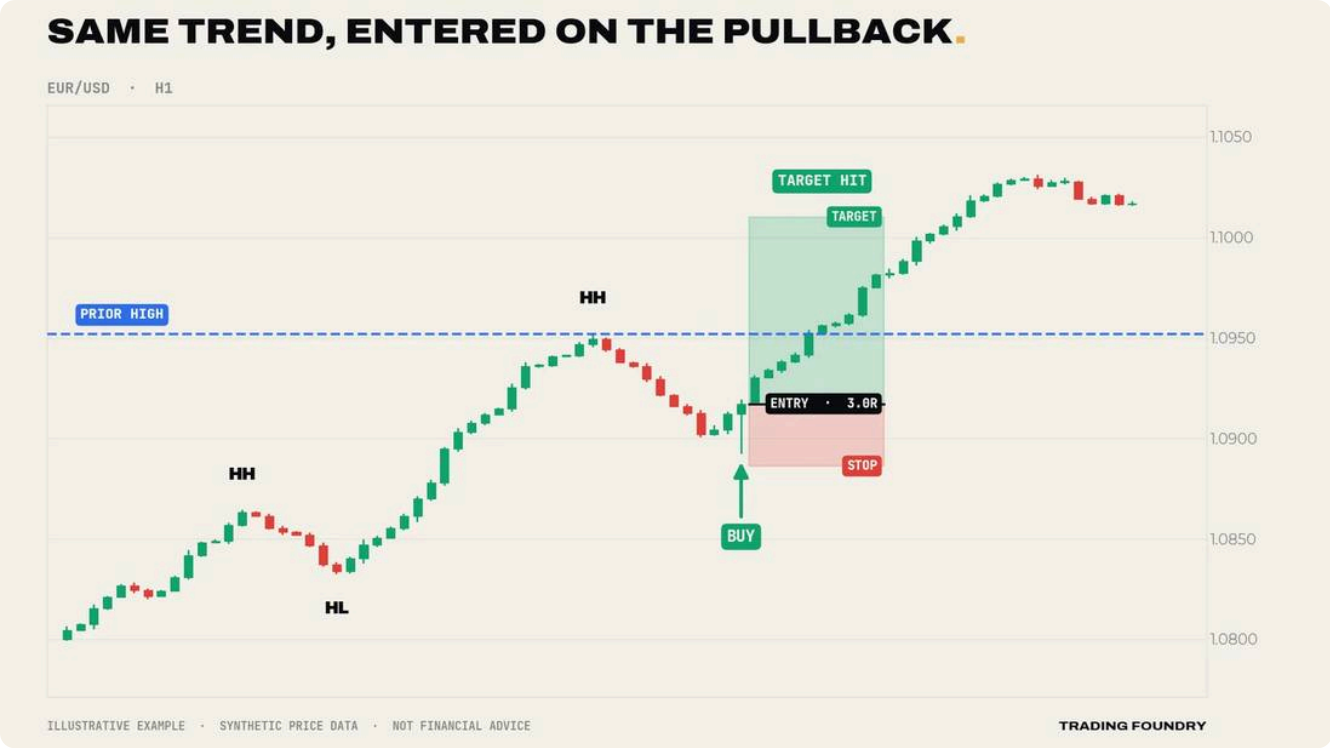
Third, **the trade had no answer to the question "what would make me wrong?"** The only honest invalidation level for this uptrend was the higher low far below. A stop there would have meant risking over 100 pips for an entry at the top of a leg. Either the stop is meaningless, or the risk is enormous. That is the chaser's trap.

KEY POINT

Chasing is rarely a direction mistake. It is a price-and-stop mistake.

The same trend, a better price

Now the same candles, traded differently. Nothing about the market has changed. The trader simply waited.



The same trend. This time the trader waits for the pullback to stall and print a rejection candle, then buys with the stop just under the pullback low. Risk is a fraction of the chaser's distance to structure, so a 3R target is realistic.

Price pulled back from the new high, as trends routinely do. It drifted lower for several candles, then printed a candle with a long lower wick — sellers pushed down, buyers pushed it back. The trader bought on the close of that candle and placed the stop a few pips beneath its low.

Notice what has happened to the trade.

- **The entry is lower.** The trader bought roughly 30–40 pips below where the chaser bought, in the same trend.
- **The stop is meaningful.** It sits below the low of the pullback. If price trades back through that low, the idea "the pullback has ended" is simply wrong — and the trader knows within a few candles.
- **The reward is larger relative to the risk.** Because the stop is tight and the entry is low, the prior high alone is already worth more than the risk, and a target at three times the risk (3R) is within the trend's normal reach.

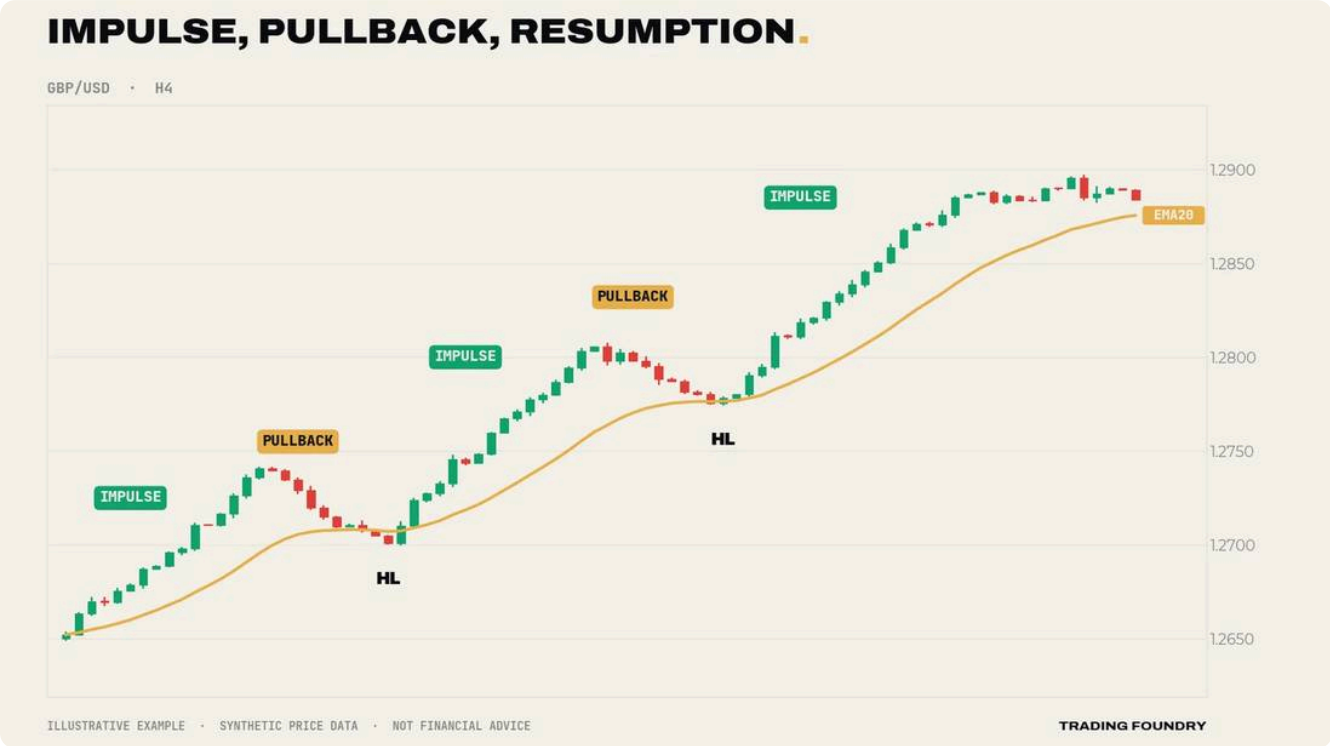
This is the whole case for the pullback, in one picture. Same market, same direction, completely different trade.

COMMON MISTAKE

Thinking a pullback entry means "buy any dip". It does not. A dip in a market with no trend is just a falling price. The strategy needs a trend first, a pullback second, and evidence the pullback has ended third — in that order.

Trends breathe

Why do pullbacks happen at all? Because trends are not straight lines. They move in a rhythm: a fast, strong leg in the trend's direction (the **impulse**), followed by a slower, smaller drift against it (the **pullback**, sometimes called a correction or retracement), followed by another impulse.



A trend is a rhythm: a fast leg with the trend, a slower, smaller drift against it, then another fast leg. The pullback strategy only ever acts in the amber phases, and only when the next green phase starts.

The impulse is the market moving with intent — large candles, mostly one colour, covering ground quickly. The pullback is the market catching its breath: earlier buyers taking profit, newer ones deciding where they want in. In a healthy uptrend, the pullback ends above the previous pullback low, and the next impulse takes price to a new high.

This rhythm is what the strategy exploits. We do nothing during the impulses — that is chasing. We watch during the pullbacks. We act only when the pullback appears to be ending and the next impulse appears to be starting.

The four questions

Every trade in this course comes from answering four questions, in order. A "no" at any stage means no trade.

1. **Is there a trend?** Not "does it look like it's going up" — an objective answer, based on swing structure: higher highs and higher lows, or lower highs and lower lows. Module 1 makes this mechanical.
2. **Is this a pullback, or a reversal?** A healthy pullback is slower, smaller and more hesitant than the impulse before it, and it holds the last higher low. A reversal looks different, and Module 2 shows you how.

3. **Has the pullback reached a sensible place?** Pullbacks tend to end in a few recognisable areas: around the 20 or 50 EMA, at the old breakout level, or between 38% and 62% of the prior impulse. Ideally several of those agree.
4. **Is there evidence the pullback has ended?** A rejection candle, or a break of the pullback's own small structure. We never buy simply because price has arrived somewhere. Module 3 covers triggers, stops and targets.

Sitting above all four is one more: **does the higher timeframe agree?** A one-hour pullback in the direction of the four-hour trend is a very different proposition from one fighting it.

Where this strategy does not work

Be clear about this from the start: the pullback strategy is a trend strategy. When there is no trend, it has nothing to offer.



Price swings between a ceiling and a floor and the averages lie flat in the middle. Every dip looks like a pullback, but there is no trend for it to pull back from — so there is nothing for this strategy to do.

In a range, price swings between a ceiling and a floor. The moving averages flatten and weave through the middle of the candles. Every drop towards the floor looks a little like a pullback; every bounce looks a little like a new trend. A trader who applies pullback rules here will take entry after entry that goes nowhere — small losses, again and again.

The strategy's most important skill is therefore **refusing** entries. Most of the time the four questions do not all come back "yes", so most of the time you do nothing. That is not a flaw. It is the point.

How this course is built

Module 1 makes the trend objective: swing structure, trend lines and moving-average filters. Module 2 dissects the pullback itself — healthy or not, and how deep. Module 3 covers execution: triggers, stops, targets, sizing and multi-timeframe alignment. Module 4 covers when not to trade, then hands you the complete playbook. Every chart is an illustrative training chart, not real market data, and nothing here is a signal to trade any market.

Going deeper

For experienced traders, the case for the pullback is really an argument about **risk geometry** and **invalidation**.

Every trade has a thesis — "this uptrend will continue" — and a point at which the thesis is proven wrong. For a trend, that point is structural: in an uptrend, the most recent confirmed higher low. The further your entry is from that point, the more you must risk to give the thesis room. Chasing maximises that distance. Pullback entries minimise it, because you are entering near the low of the pullback, which is close to the structure that would invalidate you.

The course uses two kinds of stop:

- **The trigger stop** — beyond the low of the pullback itself. Tight, cheap, and invalidated if the pullback simply continues. This is the default.
- **The structural stop** — beyond the last confirmed higher low of the trend. Wider, and invalidated only if the trend itself breaks. Useful when the pullback low and the trend's higher low are the same point.

A hypothetical illustration of why the geometry matters. Suppose two traders each risk 1% of their account per trade. Trader A chases and can realistically aim for 1R before the next pullback. Trader B enters on pullbacks and aims for 2.5R. With these purely hypothetical numbers, Trader A needs to be right more than half the time just to break even; Trader B breaks even at under 30%. Neither figure is a promise of anything — real results depend on execution, costs and the market — but the arithmetic shows why the entry location, not the direction call, is where much of the edge in trend trading tends to live.

Two warnings. First, waiting has a cost: some trends never pull back to a sensible level, and you will miss them. That is the fee for refusing bad prices, and you should accept it in advance. Second, the tight trigger stop will be hit more often than a wide structural stop. Losses are part of the method. The aim is for them to be small, planned and explainable.

Summary

- Most chasing losses are a price-and-stop problem, not a direction problem.
- Trends move in a rhythm of impulse and pullback; this strategy acts only as a pullback ends.
- Every trade answers four questions in order: trend, pullback, location, evidence — plus higher-timeframe agreement.

- A pullback entry puts the stop close to a level that genuinely proves you wrong, which makes larger rewards relative to risk realistic.
- In a range there is no trend to pull back from, so the strategy stands aside.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A trader buys after six strong green candles and is stopped out before the trend continues higher. What was most likely wrong?
   A. The direction call
   B. The entry price and stop placement
   C. The choice of currency pair
   D. The timeframe was too high
2. In a healthy uptrend, what is a pullback?
   A. Any red candle
   B. A slower, smaller move against the trend that holds above the last higher low
   C. A move that breaks the last higher low
   D. A sideways range lasting several weeks
3. Why does a pullback entry usually allow a larger reward relative to risk?
   A. Pullbacks always reverse at exactly the 50 EMA
   B. The stop can sit close to a level that genuinely invalidates the idea, while the target stays at the trend's next high or beyond
   C. Brokers offer better spreads on pullbacks
   D. Pullback trades never lose
4. Which is the correct order of the strategy's four questions?
   A. Trigger, location, trend, pullback
   B. Trend, pullback, location, evidence
   C. Location, trigger, trend, target
   D. Evidence, trend, location, pullback
5. Price is swinging between a clear ceiling and floor and the 20 and 50 EMAs are flat and crossing. What does the pullback trader do?
   A. Buy every dip to the floor
   B. Sell every rally to the ceiling
   C. Stand aside — there is no trend to pull back from
   D. Buy when price crosses above the 20 EMA

The Only Trend Definition You Need.

MODULE 1 — AN OBJECTIVE TREND · LESSON 2

Label swing highs and lows mechanically and classify any chart as uptrend, downtrend or no trend — the same way every time.

Ask ten traders whether a chart is trending and you will get ten answers, most of them based on how the last few candles feel. That is no foundation for a strategy. If you cannot say objectively whether a trend exists, you cannot say objectively whether a pullback exists — and every decision after that is guesswork dressed as analysis.

This lesson gives you a definition you can apply to any chart, on any timeframe, and get the same answer as anyone else using the same rules. It is old — it goes back more than a century to Charles Dow — and it is still the best one available: **a trend is a sequence of swings**.

Swing highs and swing lows

Price does not move in straight lines. It zigzags. Each zig ends at a **swing high** — a peak with lower highs on both sides. Each zag ends at a **swing low** — a trough with higher lows on both sides.

To make this mechanical, use a simple rule: a candle is a swing high if its high is higher than the highs of the two candles before it and the two candles after it. A swing low is the mirror. This is sometimes called a five-candle fractal. It is not magic, and you can use three candles each side if you prefer fewer, larger swings. What matters is that you pick one rule and keep it.

Not every five-candle wiggle matters. A two-pip blip inside a strong leg technically qualifies but tells you nothing. So add a second filter: **a swing only counts if the move away from it was meaningful** — as a working guide, at least a third of the leg before it, or clearly visible when you zoom out to see the last 60–100 candles. If you have to squint to see it, it is not a swing for this strategy.

KEY POINT

Swings are the atoms of trend. Everything in this course — the trend, the pullback, the stop, the target — is defined by them.

The uptrend

An uptrend is a sequence of **higher highs (HH)** and **higher lows (HL)**. Each rally makes a new high above the previous one. Each pullback ends above the previous pullback low.



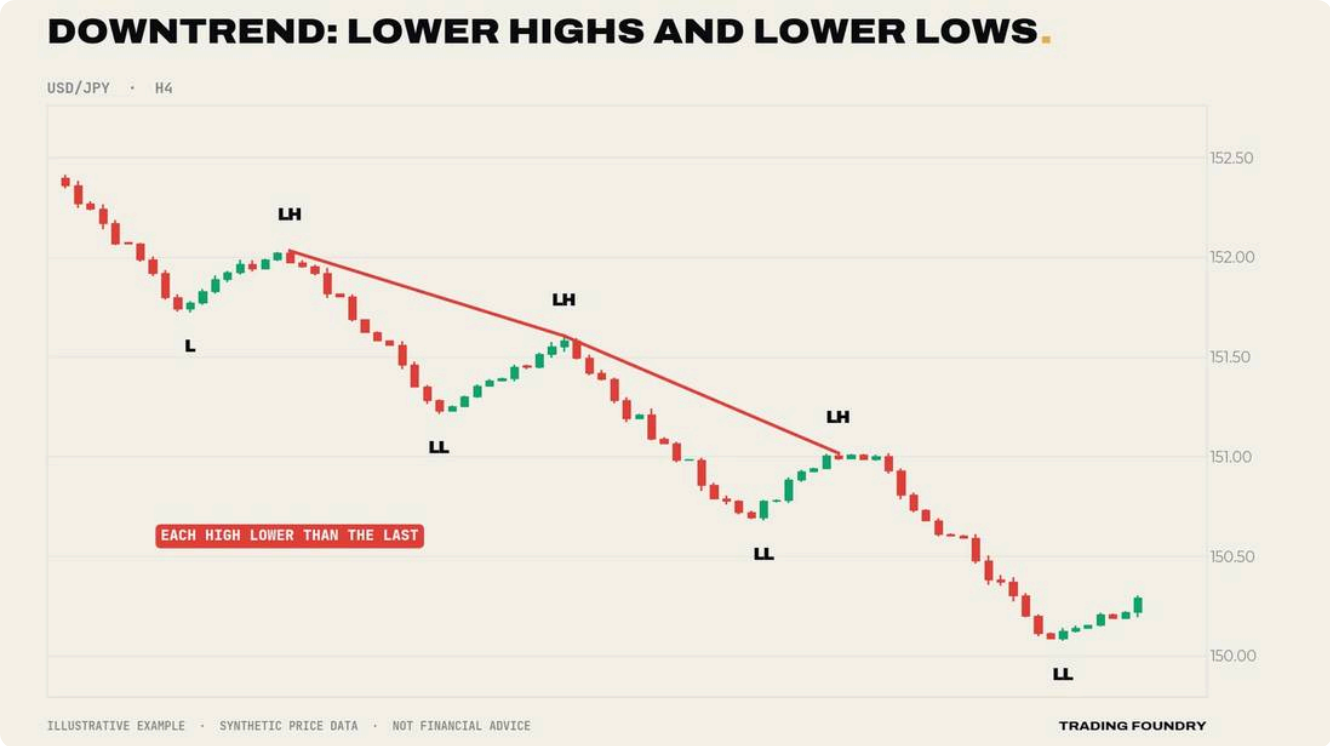
An uptrend, defined by swings rather than by feel: every swing high clears the one before (HH) and every pullback ends above the previous pullback low (HL). The rising line through the lows is the trend's floor.

Look at the lows in the chart. They step up: each sell-off runs out of sellers at a higher price than the last one did. That is the real signature of an uptrend. Highs get the attention, but the lows tell you that buyers are willing to pay more each time the market dips. Join those higher lows and you have the trend's floor.

You need at least **two higher highs and two higher lows** before calling something a trend. One higher high could be a bounce in a range. A second confirms a pattern.

The downtrend

A downtrend is the mirror: **lower highs (LH)** and **lower lows (LL)**. Each sell-off makes a new low. Each rally fails below the previous rally high.



The mirror image. Each rally stalls below the previous rally high (LH) and each sell-off makes a new low (LL). In a downtrend the line through the highs is the ceiling every bounce has failed beneath.

Here the important swings are the highs. Each bounce runs out of buyers at a lower price than the last. Sellers are prepared to sell earlier every time. The line through those lower highs is the ceiling, and a pullback trader in a downtrend is looking to sell rallies into that ceiling — the mirror image of everything we do in an uptrend.

Throughout this course, examples are mostly written for uptrends to keep the language simple. Every rule applies in reverse to downtrends: swap highs for lows, buy for sell, below for above.

When a higher low becomes official

Here is the subtle part, and the one most traders get wrong. While a pullback is happening, you do not yet know where its low is. Price might bounce from here, or it might keep going. So when is a higher low actually a higher low?

The answer: **a pullback low is confirmed as a higher low only when price closes above the prior swing high.**



The pullback low is only a candidate until price closes above the prior high. That close is what proves buyers stepped back in from the low — at that moment the higher low becomes official and is the trend's line in the sand.

Until that close, the low is a candidate. It might hold; it might not. The moment price closes above the prior high, two things become true at once: the uptrend has printed another higher high, and the low it launched from is now proven to be a level buyers defended. That low becomes the trend's current line in the sand.

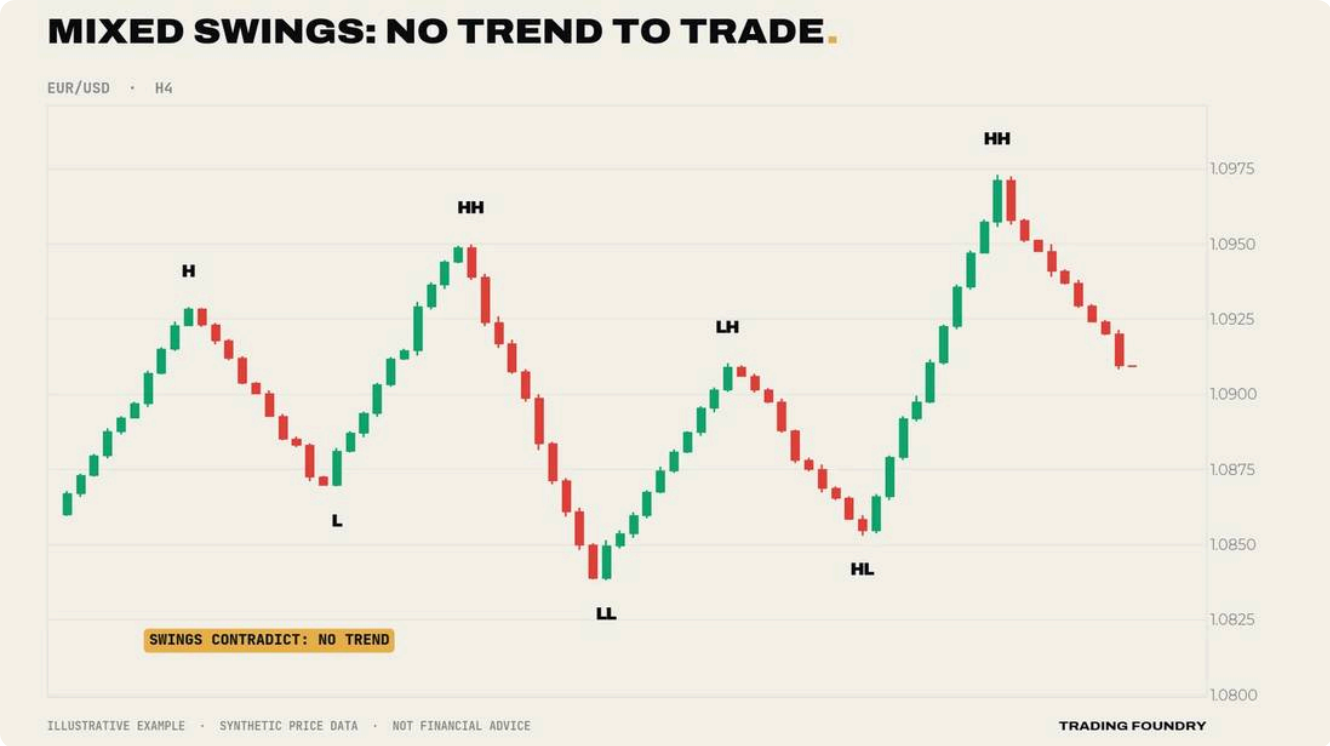
This rule gives you something extremely valuable: **an objective invalidation level at every point in the trend**. At any moment, you can point to the last confirmed higher low and say "if price closes below there, the uptrend as I defined it is broken". That level will become central to your stops, your trade management and your decision about when the trend has ended.

COMMON MISTAKE

Moving your "line in the sand" down every time price falls through it. If the last confirmed higher low breaks on a closing basis, the uptrend is broken by definition. Redefining the trend to keep a position alive is how small losses become large ones.

No trend

The third state is the one beginners forget exists: **no trend**. If the swings contradict each other — a higher high followed by a lower low, a lower high followed by a higher low — there is no trend to follow.



A higher high, then a lower low, a lower high, a higher low and another higher high. The swings contradict each other, so by definition there is no trend — and the pullback strategy has nothing to join.

This chart has a lot of movement and some large candles. It feels like it is going somewhere. But walk through the swings: a high, a low, a higher high, then a lower low that undercuts everything. Then a lower high. Then a higher low. Then a higher high. Every swing contradicts the one before. By definition, no trend exists, and the pullback strategy has nothing to join.

Markets spend a great deal of time in this state. Recognising it — and staying out — is as much a part of this strategy as any entry rule.

The state machine

Put it together and every chart, at every moment, is in exactly one of three states:

- **Uptrend** — at least two HH and two HL, and the last confirmed HL has not been broken on a close. *Permitted: long pullback trades only.*
- **Downtrend** — at least two LH and two LL, and the last confirmed LH has not been broken on a close. *Permitted: short pullback trades only.*
- **No trend** — anything else, including the period straight after a trend breaks. *Permitted: nothing.*

Write the state down before you look for any trade. Write the invalidation level next to it. "EUR/USD H4: uptrend, last confirmed HL 1.0842." That one line, updated as new swings confirm, is the foundation of every trade in this course.

THE RULES

- A swing high has lower highs on both sides (two candles each side); a swing low is the mirror.
- Ignore swings created by moves too small to see on a 60–100 candle view.
- Uptrend = at least two higher highs and two higher lows. Downtrend = at least two lower highs and two lower lows.
- A pullback low becomes a confirmed higher low only when price closes above the prior swing high.
- A close below the last confirmed higher low ends the uptrend. Anything that is not clearly up or down is "no trend".
- Write down the state and the invalidation level before looking for a trade.

Going deeper

Closes, not wicks. Swing points are marked at the extreme of the wick, because that is where price actually traded. But breaks are judged on **closes**. A wick through the last higher low that closes back above it is a test, not a break. Intraday spikes through obvious swing levels are common, partly because that is where many stops cluster. Requiring a close on the timeframe you are analysing filters out much of that noise. You will occasionally be a candle late on a genuine break; that is a fair price.

Swing significance scales with the timeframe. A swing on the one-hour chart may be invisible on the daily. That is not a contradiction; it is magnification. A pair can be in a daily uptrend and a one-hour downtrend simultaneously, and both statements are correct. The answer is always to state your timeframe. Lesson 9 turns this into a working method.

Using volatility to filter swings. The "visible on a zoomed-out chart" filter is practical but subjective at the margins. A more mechanical version: a swing only counts if the move away from it covers at least one average true range (ATR) of the timeframe. Use whichever filter you can apply consistently.

The awkward middle. After an uptrend breaks, the chart is in "no trend" until a downtrend has its own credentials — a lower high and a lower low. That gap can last a long time, and it is where many traders lose money by insisting on a verdict the market has not given. The state machine forces you to sit on your hands until it has.

Sloppy swings. Real charts throw up double bottoms, inside candles and swings that differ by a pip. Treat two lows within a few pips of each other as the same swing. When in genuine doubt, the honest label is "no trend" — doubt itself is information.

Summary

- A trend is a sequence of swings: HH and HL for an uptrend, LH and LL for a downtrend.
- Mark swings with a fixed rule and ignore the tiny ones.
- A pullback low only becomes a confirmed higher low when price closes above the prior high.

- The last confirmed higher low is the trend's invalidation level; a close below it ends the uptrend.
- Contradictory swings mean no trend — and no trade.

CHECK YOURSELF · ANSWERS AT THE BACK

1. What objectively defines an uptrend in this course?

   A. Price above the 200 EMA

   B. At least two higher highs and two higher lows

   C. Three green candles in a row

   D. RSI above 50

2. Price pulls back and bounces from a low. When does that low become a confirmed higher low?

   A. As soon as a green candle prints

   B. When the RSI turns up

   C. When price closes above the prior swing high

   D. When it touches the 20 EMA

3. In an uptrend, the last confirmed higher low is broken by a long wick, but the candle closes back above it. What is the correct read?

   A. The uptrend is over

   B. A downtrend has started

   C. The level was tested, not broken — the uptrend is intact

   D. The higher low should be moved lower

4. A chart shows a higher high, then a lower low, then a lower high. What state is it in?

   A. Uptrend

   B. Downtrend

   C. No trend

   D. Uptrend in a deep pullback

5. Why does the strategy need to know the last confirmed higher low at all times?

   A. It is the only place you can enter

   B. It is the objective level that, if closed below, ends the uptrend

   C. Brokers require it

   D. It is always the profit target

Trend Lines Drawn Properly.

MODULE 1 — AN OBJECTIVE TREND · LESSON 3

Draw trend lines and channels by fixed rules, validate them with a third touch, and know what a broken line does and does not tell you.

The trend line is the most used and most abused tool in charting. Open a typical beginner's chart and you will find a web of lines at every angle, each drawn to justify a feeling and quietly redrawn the moment price breaks it. That is not analysis. It is decoration.

Used properly, though, a trend line is genuinely helpful to a pullback trader. It shows the trend's pace at a glance, marks where pullbacks have tended to end, and gives early warning when the pace changes. This lesson gives you the rules for a line worth keeping — and puts the line in its proper place, which is **second** to swing structure.

The hierarchy: structure first, lines second

Lesson 2 defined the trend by swings: higher highs and higher lows. That definition is primary. A trend line is merely a way of visualising the pace of those swings.

So when a trend line and swing structure disagree, **structure wins**. Every time. Most trend-line mistakes come from promoting the line above the structure it was meant to summarise — exiting a healthy trend because a line was touched, or holding a broken trend because a generously redrawn line has not been.

KEY POINT

A trend line summarises the trend. It does not define it. Swings define it.

Five rules for a line worth keeping

Rule 1 — Connect confirmed swing points. An uptrend line runs beneath the market through swing lows. A downtrend line runs above it through swing highs. Use swings that are already confirmed by Lesson 2's rules. If you cannot say which two swings your line connects, delete it.

Rule 2 — Two points draw a line; a third validates it. Any two points can be joined. That proves nothing. The line becomes meaningful only when a later pullback comes back and respects it. Until then it is a hypothesis in pencil.



Anchor the line on two confirmed swing lows. Two points always make a line, so it is only a hypothesis until a third pullback respects it. After touch 3 the line is earning its place on the chart.

In this chart the line is anchored on swing lows 1 and 2. On its own, that line could be anything. Then the third pullback drifts down, touches the line and turns higher. Now the line has history: three separate sell-offs have run out of sellers at the same rising slope.

Rule 3 — Pick a convention and keep it. Wicks or bodies? Traders argue about this endlessly. The honest answer is that either works if you are consistent and neither works if you switch whenever it flatters you. This course anchors on wicks. Treat the line as a zone a few pips wide, not a laser. Price does not owe your line precision.

Rule 4 — Never redraw to rescue a broken line. If price closes decisively through a validated line, that line's job is done. You may draw a new line that reflects the trend's new pace, but you may not pretend the break did not happen.

Rule 5 — Respect what the slope tells you. The angle of the line is the speed of the trend. A near-vertical line drawn during a euphoric run will break almost by arithmetic, because no market sustains that pace. Its break usually means "pace normalising", not "trend over". A gentle line that has held for many touches is a different matter; its break is more serious.

A broken line is not a broken trend

The most common trend-line error is treating any break as a reversal signal. Look at what actually happened here.



The first line was drawn during a near-vertical run, so it broke almost as soon as the pace normalised. But the pullback held above the prior higher low — structure intact. Line broken means 'trend slowing', not 'trend over'. Structure decides.

The first line was drawn under a fast early run. When the pace slowed, price slipped beneath it almost immediately. A trader who treats lines as signals would have sold, or exited a long. But check the structure: the pullback that broke the line ended **above** the previous higher low. No swing was broken. The trend simply slowed down, and a new, gentler line took over.

So when a line breaks, ask one question: **has the last confirmed higher low broken on a close?** If not, the trend is intact and decelerating. Pay attention, note it, but do not act as though the trend has ended. If the higher low also breaks, you have a structural break, and the line merely gave you a few candles' early notice — which is exactly the job of a secondary tool.

COMMON MISTAKE

Drawing the steepest possible line through the first two lows of a fast move and then treating its break as a sell signal. Steep lines break because pace normalises. Check structure before concluding anything.

Channels

Copy a validated trend line and place the copy across the swing highs, and you have a **channel**.



Copy the trend line and place the copy across the swing highs. When price respects both rails, the lower rail shows where pullbacks have habitually ended and the upper rail shows where the next leg may pause — useful for setting realistic targets.

When price genuinely respects both rails, the channel is a picture of the trend's whole rhythm. For a pullback trader it does two practical jobs:

- **The lower rail marks where pullbacks have habitually ended.** That is an area of interest for entries — not a trigger on its own, but a place to start watching closely.
- **The upper rail marks where impulses have tended to pause.** That is useful when setting a realistic target. If the upper rail is 40 pips above your entry and your target is 120 pips away, you are asking the trend to do something it has not done recently.

Two cautions. Clean channels are rarer than textbooks suggest; if you are stretching tolerance on every touch to keep the picture alive, there is no channel. And watch for changes: a market that can no longer reach its upper rail is losing momentum, while one that bursts out of the top is often in an unsustainable final spurt.

Trend lines in downtrends

Everything mirrors. A downtrend line runs across the lower highs, and rallies into it are the downtrend's pullbacks — the places a pullback trader looks to sell.



In a downtrend the line runs across the lower highs. The third rally stalls at the line and prints a bearish rejection candle; the short goes on its close with the stop above the wick — the mirror of every long setup in this course.

Two lower highs anchor the line. The third rally drifts up into it, stalls, and prints a bearish rejection candle with a long upper wick. The short is taken on that candle's close, with the stop above the wick and a target at twice the risk. Notice the line did not create the trade on its own. It marked **where** to pay attention; the rejection candle provided the **evidence**.

How the pullback trader actually uses lines

In this strategy, trend lines do three jobs and no others:

1. **Locating pullbacks.** A validated line, or the lower rail of a channel, is one of the areas where pullbacks often end. It joins the moving averages and prior structure covered in Lesson 6 as a possible point of confluence.
2. **Early warning.** A break of a well-established line means the trend's pace has changed. Tighten attention, consider tightening management, and check structure.
3. **Triggers inside the pullback.** A pullback often forms its own small counter-trend line. When price breaks back through that small line, it is evidence the pullback is ending. Lesson 7 builds this into a full entry trigger.

THE RULES

- Swing structure defines the trend; trend lines only summarise it. When they disagree, structure wins.
- Anchor lines on confirmed swing points: lows for uptrends, highs for downtrends.
- A line is a hypothesis until a third touch respects it.
- Choose wicks or bodies once and keep the convention. Treat the line as a zone a few pips wide.
- Never redraw a line to rescue a position. A decisive close through a validated line is a break; log it.
- A line touch is a place to watch, never a trade on its own.

Going deeper

Why lines work at all. There is nothing mystical here. A validated trend line marks the rate at which buyers have been willing to pay up. Each touch is a moment where the market's pace of acceptance and the pullback's selling ran into each other. Many participants see the same obvious line, which adds some self-fulfilling attention. Equally, many traders' stops sit just beyond it, which is why lines are often briefly pierced before price recovers. Use closes, not wicks, for breaks.

The trend-line fan. Mature trends often step through several lines, each shallower than the last: steep, then moderate, then gentle. Each break is a deceleration. A third break of a fan, especially with a structural break, is a strong sign the trend is ending. This is a useful way to see late-trend exhaustion without any indicator.

Acceleration lines. The opposite also happens: a trend breaks out of the top of its channel and steepens. That is not automatically good news. Parabolic acceleration is often the trend's final phase, and pullbacks from it can be sharp. A pullback trader is more cautious, not less, after an acceleration.

Do not over-fit. On any chart, with enough freedom, you can find a line through three points. That is why the anchor points must be confirmed swings chosen in advance, and why validation must come from a **later** touch, not from scanning back for a third point that happens to line up.

Timeframes. A line drawn on the four-hour chart is more meaningful than one drawn on the five-minute chart, for the same reason that higher-timeframe swings are more significant. When you show a line to yourself as evidence, say which timeframe it came from.

Summary

- Trend lines summarise swing structure; structure always has the final say.
- Anchor on confirmed swings, validate with a third touch, keep one convention, never redraw to rescue a trade.
- A broken line means the pace has changed; only a broken higher low means the trend has broken.
- Channels show where pullbacks usually end and where legs usually pause — helpful for targets.
- Lines tell you where to look. Candles tell you whether to act.

CHECK YOURSELF · ANSWERS AT THE BACK

1. How many touches does a trend line need before it is considered validated?
   A. One
   B. Two
   C. Three — two to draw it, a later third to validate it
   D. Five
2. A steep trend line breaks, but the pullback holds above the last confirmed higher low. What is the correct read?
   A. The trend has reversed — go short
   B. The trend has slowed but is structurally intact
   C. Redraw the line through the new low
   D. The trend line was drawn on the wrong timeframe
3. Which swing points anchor a downtrend line?
   A. Swing lows
   B. Swing highs
   C. Candle closes only
   D. Any two candles
4. Price touches the lower rail of a clean up-channel. What should the pullback trader do?
   A. Buy immediately at the rail
   B. Start watching for a trigger — the rail is an area of interest, not a signal
   C. Sell, because the channel will break
   D. Move the rail to fit the latest low
5. A trader's validated line breaks, so they redraw it through the latest low to keep their long position 'valid'. What is wrong with this?
   A. Nothing — lines should always be updated
   B. It rescues a position instead of analysing the market; a decisive break of a validated line should be logged as a break
   C. They should have used bodies instead of wicks
   D. Lines can only be drawn on the daily chart
6. On a channel, the upper rail is 40 pips above a planned entry and the target is 130 pips away. What does this suggest?
   A. The target is conservative

B. The target asks the trend to do more than it has recently done — consider a nearer target or skip

C. The channel is invalid

D. The stop must be widened

Moving Averages as Trend Filters.

MODULE 1 — AN OBJECTIVE TREND · LESSON 4

Use the 20, 50 and 200 EMAs to grant or refuse permission to trade, and recognise the flat, braided averages that mean stand aside.

Moving averages are usually sold as signal generators: buy when the fast line crosses the slow one, sell when it crosses back. Used that way, they are late, noisy and expensive in sideways markets. Used as a **filter**, they are one of the most useful tools a pullback trader has.

A filter does not tell you when to trade. It tells you when you are **allowed** to. It sorts the market into "trend I can trade", "trend in the other direction" and "nothing worth trading", and then it throws away every setup that does not fit. Nobody screenshots the trade a filter stopped them taking, but over hundreds of trades those refusals are a large part of what keeps a trend strategy healthy.

What a moving average actually tells you

A moving average is the average closing price over a set number of candles. The exponential moving average (EMA) gives more weight to recent candles, so it turns a little faster than the simple moving average (SMA). For a filter, the difference is minor. This course uses EMAs throughout for consistency.

Three things about an average matter to a pullback trader:

- **Where price is relative to it.** Price above a rising average means recent prices are higher than the average of the period — buyers are in control of that window.
- **Its slope.** A rising average says the trend has persisted long enough to drag the average up. A flat average says the market has gone nowhere over the period, whatever the last few candles look like.
- **How two averages relate.** A faster average above a slower one says recent prices are higher than older prices. That is a crude but robust definition of an uptrend.

None of these is a timing tool. All of them are good at describing the regime.

The working pair: 20 and 50 EMA

The core filter in this course uses the 20 EMA and 50 EMA on your trading timeframe. A market qualifies for **long** pullback trades only when all of the following are true:

1. Price is above the 50 EMA (it may dip to or slightly through the 20 during a pullback).
2. The 20 EMA is above the 50 EMA.
3. Both averages are visibly sloping upward.
4. Swing structure agrees: higher highs and higher lows, as defined in Lesson 2.



The filter's three checks: price above both averages, the 20 EMA above the 50 EMA, and both visibly sloping upward — with swing structure agreeing. All four pass here, so long pullback trades are permitted.

When you see this picture — price above both, the averages stacked in order, both rising, swings stepping up — the filter is open for longs. Mirror everything for shorts: price below the 50, the 20 below the 50, both sloping down, lower highs and lower lows.

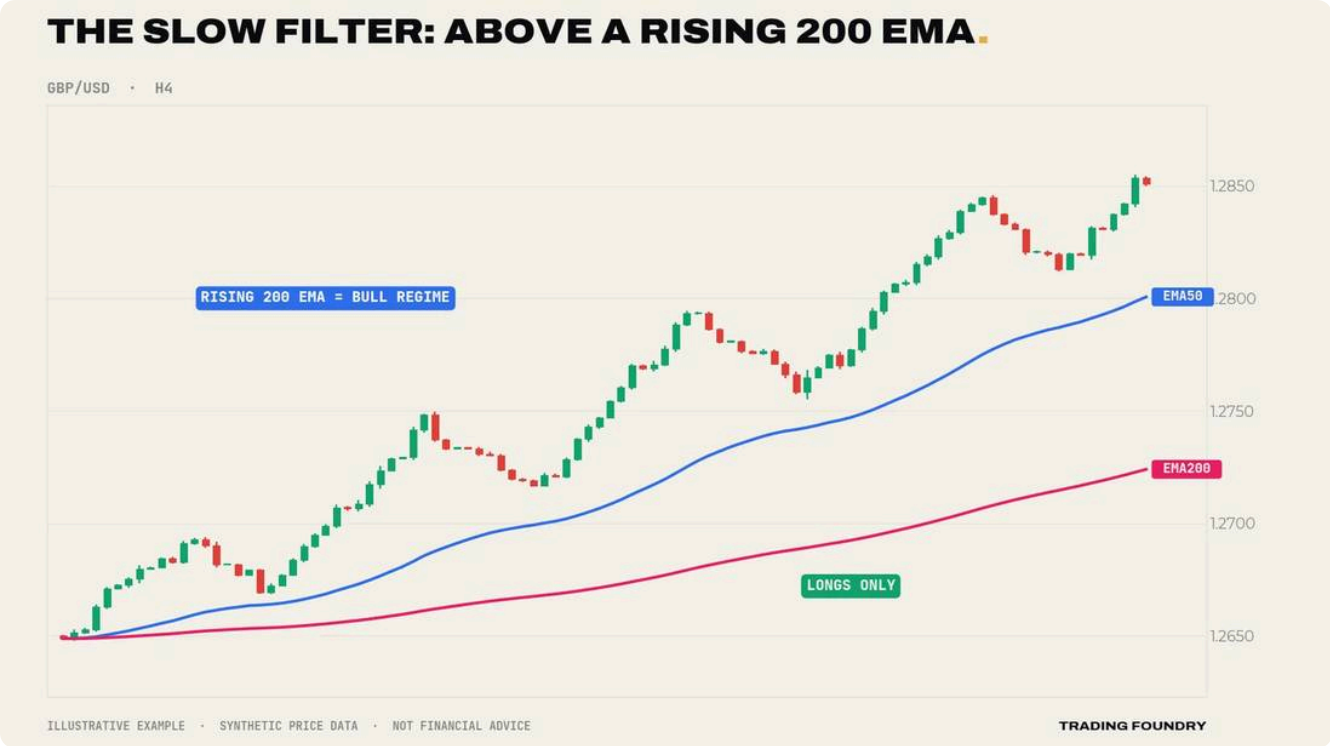
Notice that the fourth condition is structure. The averages do not replace Lesson 2; they confirm it. If the averages say "uptrend" but the swings say "no trend", the answer is no trend. Structure has the final word, exactly as it did with trend lines.

KEY POINT

The averages grant permission. Structure confirms it. A trigger candle is still required. All three, or no trade.

The slow filter: the 200 EMA

Above the working pair sits an optional slow filter: the 200 EMA. It is a regime label, not a trading line.



A slow average sets the regime. While price holds above a rising 200 EMA, the strategy only looks for long pullbacks; it does not even consider shorts. The filter's job is to forbid trades, not to find them.

While price holds above a rising 200 EMA, the pullback trader only considers longs. Below a falling 200 EMA, only shorts. When price is tangled around a flat 200, many traders either stand aside or reduce size.

You do not need both the 200 EMA and a higher-timeframe check (Lesson 9). They usually say the same thing. Choose one regime filter and use it consistently; stacking three filters that all measure the same trend just means paying three tolls for one road.

What "no" looks like

The single most valuable thing the filter does is say no. Here is what that looks like.



The 20 and 50 EMAs lie flat and weave through each other while price oscillates around them. Every cross looks like a new trend up close; none follows through. A flat, braided pair is the clearest 'stand aside' the filter can give.

The 20 and 50 EMAs are flat and keep crossing. Price swings above and below them. This is the environment in which moving-average strategies bleed: every cross looks, up close, like the start of a trend, and almost none follows through. In a range the average settles into the middle of the oscillation, which means price crosses it constantly — exactly where trend tools are waiting.

The signs to watch for:

- **Flat slope.** The 50 EMA moving sideways is the market telling you, in its own language, that there is no consensus to follow.
- **Braiding.** One cross of the 20 and 50 is information. Several crosses in a short period is a range.
- **Contradictory swings.** Higher highs mixed with lower lows, as in Lesson 2.
- **Your own results.** Two consecutive stop-outs from the same setup on the same pair is your strategy reporting, accurately, that its assumptions do not currently hold.

COMMON MISTAKE

Taking a beautiful trigger candle in a market the filter has already disqualified. The filter is not paperwork. It is the strategy.

The ten-second filter routine

Run the same routine on every chart, in the same order, before you look at a single candle pattern:

1. **Slope of the 50 EMA.** Up, down or flat? Flat ends the routine: no trade.

2. **Order of the averages.** Is the 20 on the correct side of the 50 for that slope? If the 50 is rising but the 20 has dropped below it, the market is mid-transition. No trade yet.
3. **Price location.** Is price on the correct side of the 50? A pullback may dip into or slightly through the 20; a candle closing well beyond the 50 against the trend is a warning you will meet again in Lesson 6.
4. **Swings.** Do the last two highs and lows agree with the averages? If not, structure overrules them.

Write the result as one line: "H1 EUR/USD — filter open, longs only" or "filter closed". Doing it the same way every time matters more than doing it cleverly. A routine that takes ten seconds and is applied without exception will protect you better than an elaborate one you skip when the chart looks exciting.

Practice drill

Work through the filter before you reveal the answer. Check slope, order of the averages and swing structure — in that order — and only then look at the candle.



A neat bullish pin bar has just closed at the 20 EMA. Before you look, check every filter condition. Is this a trade or not?

THE REVEAL



THE ANSWER

No trade. The pin bar is tidy, but the filter fails on every count: the 20 and 50 EMAs are flat and have crossed repeatedly, and the swings contradict each other — there is no trend for this to be a pullback in. Price drifted on to the bottom of the range and through the pin bar's low. A good-looking candle in the wrong market is still the wrong trade.

Now compare it with the same kind of candle in a market that passes every check.



A similar pin bar at the 20 EMA, but now the trend qualifies: higher highs and lows, 20 above 50, both rising. Same candle, opposite verdict. Context decides what a signal is worth.

The candle shape is almost identical. The verdict is opposite, because the context is opposite. In the first chart the pin bar is just one more swing in a range. In the second it is a rejection at the 20 EMA inside a qualified uptrend, with higher lows beneath it and both averages rising. The pattern is the sentence; the trend is the paragraph it appears in.

THE RULES

- Longs only when: price above the 50 EMA, 20 EMA above 50 EMA, both sloping up, and swings making higher highs and higher lows.
- Shorts only when: price below the 50 EMA, 20 EMA below 50 EMA, both sloping down, and swings making lower highs and lower lows.
- Flat or braided averages mean no trade, however good the candle looks.
- Optional regime filter: trade only in the direction of the 200 EMA's slope. Use one regime filter, not several.
- Averages are never entry signals on their own. They permit; triggers act.

Going deeper

Quantifying slope. "Visibly sloping" is fine for most traders, but if you want a mechanical test, compare the 50 EMA now with its value 10 candles ago. If the change is smaller than roughly one-third of an average candle range per 10 bars, call it flat. The exact threshold matters less than applying the same one every time. Test it on historical charts, then freeze it.

Lag is the price of smoothness. A 20-period EMA reflects, roughly, the last 10 to 20 candles; a 50 EMA, the last 25 to 50. That lag is why averages are poor at timing and good at describing. By the time the 20 crosses the 50, the move is not new. That is fine for a filter, because the pullback strategy never tries to catch the first leg of a trend. It waits for the trend to prove itself and then joins the second, third and fourth legs.

Timeframe matters. A 200 EMA on the five-minute chart describes about 17 hours of trading. That is a regime in the way a weekend is an era. Apply the slow filter on a timeframe where 200 candles represents weeks, not hours, or use the higher-timeframe method from Lesson 9 instead.

Filters cost something. A good filter typically means fewer trades and shallower losing streaks, because the worst streaks in most trend systems come from repeatedly trading against a strong trend or through a range. But the filter will also veto some trades that would have worked, including the occasional spectacular reversal. That is the wager: across many trades, the vetoed group is expected to do worse than the trades you keep. Whether that holds for your exact rules is a measurement you make by testing, not an article of faith.

Settings. The 20/50 pair is a sensible default, not scripture. Faster markets sometimes suit 9/21; slower approaches, 50/100. Choose in testing, then stop tuning. Adjusting settings after every losing week until the recent past looks good is curve-fitting, and it produces a system that perfectly describes last month and nothing else.

Summary

- Moving averages are filters: they grant or refuse permission; they do not time entries.
- Longs need price above the 50, the 20 above the 50, both rising, and structure agreeing. Mirror for shorts.
- The 200 EMA, or a higher-timeframe check, can serve as a slow regime filter. Use one, not several.
- Flat, braided averages and contradictory swings mean stand aside.
- The same candle can be a good trade or a bad one. Context decides.

CHECK YOURSELF · ANSWERS AT THE BACK

1. In this course, what is the main job of the 20 and 50 EMAs?
   A. To generate buy and sell signals when they cross
   B. To grant or refuse permission to trade in a direction
   C. To set exact profit targets
   D. To predict reversals
2. Which situation qualifies for long pullback trades?
   A. Price above the 20 EMA, 20 EMA below the 50 EMA
   B. Price above both, 20 above 50, both rising, higher highs and higher lows
   C. Price below a falling 50 EMA
   D. Averages flat but price just crossed above them
3. The 20 and 50 EMAs have crossed five times in the last 60 candles and both are flat. A perfect bullish pin bar prints at the 20 EMA. What do you do?
   A. Buy — the candle is textbook
   B. Buy with half size
   C. No trade — the filter has already disqualified this market
   D. Sell, because ranges always fall
4. Why might using the 200 EMA, a higher-timeframe 50 EMA and a 100 SMA together as filters be a poor idea?
   A. They are illegal to combine
   B. They usually measure the same trend, so they add complexity and cost without adding much new information
   C. The 200 EMA only works on gold
   D. Filters should never be used
5. What is the cost of using a trend filter?
   A. There is no cost
   B. It vetoes some trades that would have won, including occasional big reversals
   C. It always increases the number of trades
   D. It makes stops wider

Healthy Pullback or Start of a Reversal?.

MODULE 2 — READING THE PULLBACK · LESSON 5

Judge a pullback by its speed, size and character, and tell an ordinary breather from a counter-move that is breaking the trend.

Every trend spends a large part of its life retreating. Count the candles in a healthy uptrend and a surprising share of them are red. So the question you will face more than any other as a pullback trader is this: **is this retreat an ordinary pullback, or the beginning of the end?**

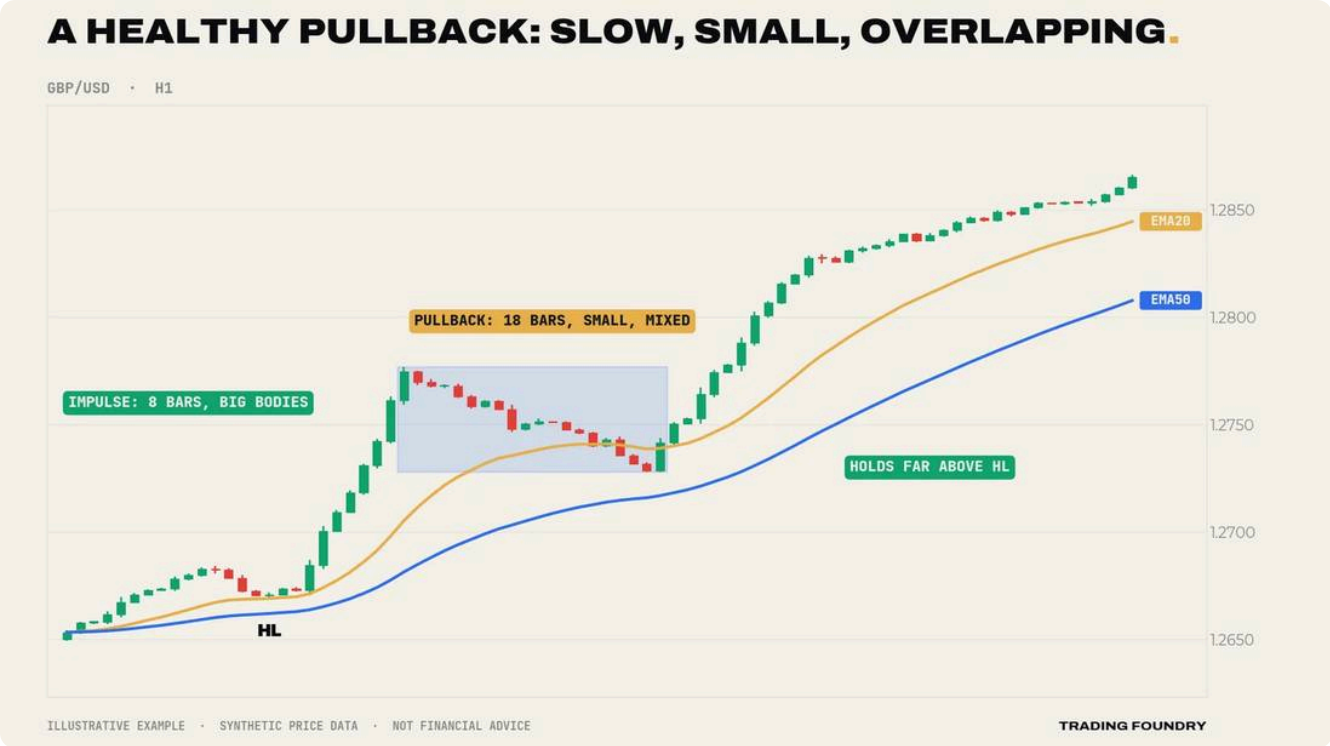
Get it right and you buy into a trend at a good price. Get it wrong and you are buying something that is falling for a reason — catching the first leg of a new downtrend and calling it a discount.

This lesson gives you two ways to answer the question. The first is **character**: how the pullback is travelling. It gives early, imperfect warnings. The second is **structure**: whether the last confirmed higher low holds. It gives a late, definitive verdict. You need both.

Impulse and correction

Trends move in two distinct ways. **Impulses** travel with intent: large candles, mostly one colour, covering ground quickly. **Corrections** — pullbacks — drift: smaller candles, mixed colours, overlapping each other, moving gently against the trend.

In a healthy trend, the impulses point with the trend and the corrections point against it. The strong moves and the structure agree. That is what "healthy" means.



The impulse covered about 100 pips in eight large candles. The pullback took more than twice as long to give back under half of it, in small candles of both colours. Slow, shallow and hesitant: sellers are taking profit, not taking control.

Read the chart as a pair of legs. The impulse covered about 100 pips in eight candles, almost all green and large. The pullback took eighteen candles to give back well under half of that, in small candles of both colours, each overlapping the last. That is the signature of profit-taking, not of sellers taking control. Buyers are still the dominant side; they are just pausing.

Three things to measure

You do not need an indicator to judge a pullback. Compare it with the impulse before it on three measures.

1. Speed. How many candles did the pullback take compared with the impulse? A healthy pullback is usually **slower** — it takes as long or longer to cover less ground. A pullback that covers the same ground as the impulse in fewer candles is faster than the trend. That is a warning.

2. Size. How much of the impulse has been given back? A typical healthy pullback retraces roughly a third to two-thirds of the prior leg. A pullback that has given back the entire leg and more is no longer a pullback by any useful definition. Lesson 6 turns this into precise zones.

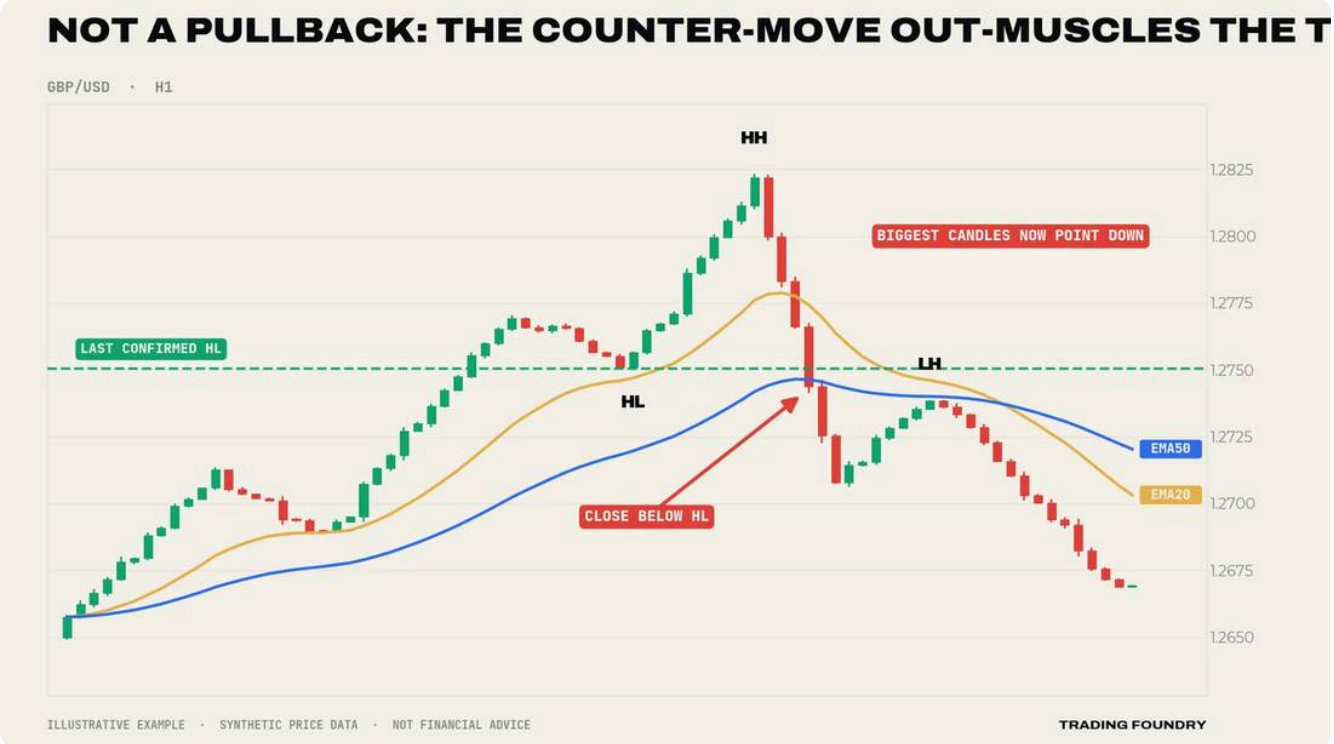
3. Character. What do the candles look like? Healthy pullbacks are **overlapping and mixed**: small red candles interrupted by green ones, wicks on both sides, a sense of reluctance. A pullback made of large, consecutive red candles with small wicks — candles that look like an impulse — is a market where sellers are acting with conviction.

KEY POINT

A healthy pullback is slower, smaller and messier than the impulse it follows. When the counter-move is faster, larger and cleaner than the trend, be suspicious.

When the counter-move out-muscles the trend

Here is what the alternative looks like.



The 'pullback' undid the whole last leg in six large red candles — faster and stronger than the rally before it — and closed through the last confirmed higher low. That is not the trend breathing. It is a break of structure, and the long side is closed.

The trend had printed a new higher high. Then, instead of drifting, price fell. Six large red candles undid the entire last rally — faster and with bigger bodies than anything the buyers had produced. It sliced through both averages, and then a candle **closed** below the last confirmed higher low.

At that point there is nothing left to debate. The character warned first: the biggest candles on the chart now point down. Structure then confirmed it: the higher low has broken on a close, and by Lesson 2's definition the uptrend is over. The next rally stalled below the old low, forming the first lower high. A trader who bought this "pullback" at the 20 EMA, or at the 50, was buying into the first leg of a new move against them.

COMMON MISTAKE

Treating any fall into a moving average as a pullback. A pullback is defined by **how** price arrives, not just **where**. Price falling hard into the 50 EMA is not the same as price drifting into it.

Rhythm as early warning

Character can deteriorate long before structure breaks. Watch the rhythm of the whole trend, not just the latest pullback.



Still an uptrend by the rules — every low is higher. But each leg up is shorter than the last and the pullbacks are now as large as the legs. The trend is tiring. Rhythm is the early warning; structure will deliver the verdict.

Every low in this chart is still higher than the last; by the rules, this is an uptrend. But look at the legs: +130 pips, then +95, then +70. Each impulse is shorter than the one before. And the pullbacks have grown: -35, then -60, then -60 again. The trend is tiring. Buyers are reaching less far each time, and sellers are taking back more.

Fading rhythm does **not** end a trend. Plenty of trends slow down, digest for a while, and then resume strongly. But it should change your behaviour:

- Be more demanding about entries. Require stronger triggers and better confluence.
- Be more modest with targets. If the last leg was 70 pips, a target 150 pips away is asking for a lot.
- Watch the last confirmed higher low closely. It is now the line that matters most.

Think of it this way: **rhythm is the warning light; structure is the red card.** Rhythm makes you defensive. Only structure makes you stop trading the trend.

Practice drill

Decide before you reveal. The uptrend is intact on paper. What does the way price arrived tell you?

PRACTICE DRILL · BUY, SELL OR WAIT? DECIDE, THEN TURN THE PAGE



The uptrend is intact on paper: price has fallen back to just above the last confirmed higher low, and a small green candle has closed. Look at how price got here before deciding. Trade or no trade?

THE REVEAL



THE ANSWER

No trade. The decline from the high was six large red candles — bigger and faster than any rally candle in the trend — and it went straight through both averages. That is impulsive selling, not a pullback, and one small green candle is not evidence it has finished. Price broke the higher low a few candles later. A healthy pullback drifts; this one fell.

A simple pullback scorecard

Before you look for a trigger, score the pullback on four questions:

1. Has it taken more candles than the impulse did? (yes = healthy)
2. Has it given back less than about two-thirds of the impulse? (yes = healthy)
3. Is it made of small, mixed, overlapping candles? (yes = healthy)
4. Is it holding above the last confirmed higher low on a closing basis? (yes = required)

Question 4 is a requirement: if it fails, the trade is off. Questions 1 to 3 are a judgement. Three healthy answers: proceed to location and trigger. Two: proceed only with excellent confluence. One or none: the pullback is behaving like a reversal, and the strategy waits for it to prove otherwise.

THE RULES

- A pullback must hold above the last confirmed higher low on a closing basis. A close below ends the trade idea.
- Judge every pullback against the impulse before it: speed, size and character.
- A counter-move with larger, faster candles than the trend is a warning, even if structure has not broken yet.
- Shrinking impulses and deepening pullbacks mean be defensive: stricter entries, modest targets.
- Price arriving at a moving average is not a pullback by itself. How it arrived matters.

Going deeper

Why corrections overlap. In an impulse, one side is in a hurry: orders arrive faster than the other side cares to absorb them, so candles close near their extremes and barely overlap. In a correction, the dominant side has paused but not left. Early buyers take profit, newer buyers bid on dips, and the result is choppy, two-way trade. Overlap is the visible footprint of that two-way trade. A correction with no overlap is not two-way trade; it is one-way selling.

Measuring "faster". A practical, mechanical comparison: divide each leg's size in pips by the number of candles it took. If the pullback's pips-per-candle is more than the impulse's, the pullback is faster than the trend. For a stricter test, compare the average body size of the pullback candles with the average body size of the impulse candles.

Complex pullbacks. Not every pullback is one smooth drift. Many take an A-B-C shape: a dip, a small bounce that fails below the high, and a second dip that often reaches a little lower. Traders who buy the first dip are often stopped by the second. If the first dip ends shallow and fast, expect the possibility of a second leg, and let the trigger rules in Lesson 7 decide when the pullback is truly over.

Exhaustion versus reversal. A tiring trend and a reversing trend are different things. Exhaustion is the trend losing energy. Reversal requires a new trend in the opposite direction with its own credentials — a lower high and a lower low. Between the two there is often a long, choppy no-man's-land. Lesson 10 covers it in detail. For now: fading rhythm means fewer, better trades; broken structure means no trades on that side.

The one-candle trap. Traders often treat the first green candle after a sharp decline as proof the pullback has ended. One small candle against a run of large ones is not evidence of anything except a pause. The trigger rules later in the course demand a candle that actually rejects the level, or a break of the pullback's own structure — not just a change of colour.

Summary

- Every pullback is judged by speed, size and character, compared with the impulse before it.
- Healthy pullbacks are slower, smaller and more overlapping than the impulse.

- A counter-move that is faster and stronger than the trend is a warning; a close below the last confirmed higher low is the verdict.
- Fading rhythm — shorter legs, deeper pullbacks — means be defensive, not that the trend has ended.
- How price arrives at a level matters as much as the level itself.

CHECK YOURSELF · ANSWERS AT THE BACK

1. An impulse rose 120 pips in 10 candles. The pullback has fallen 45 pips over 16 small, mixed candles and holds above the last higher low. How does it score?

   A. Unhealthy — it took too long

   B. Healthy — slower, smaller and overlapping

   C. A reversal — it has fallen more than 30 pips

   D. Impossible to judge without RSI

2. Which pullback characteristic is the strongest warning?

   A. Small candles of both colours

   B. A pullback that takes longer than the impulse

   C. Large, consecutive red candles that fall faster than the rally rose

   D. A pullback that stops at the 20 EMA

3. Impulses have shrunk from 130 to 95 to 70 pips while pullbacks have grown, but every low is still higher. What is the correct stance?

   A. The trend is over — go short

   B. The trend is intact but tiring — be more selective and modest with targets

   C. Nothing has changed

   D. Double position size because the trend is mature

4. Which of the scorecard questions is a hard requirement rather than a judgement?

   A. The pullback took more candles than the impulse

   B. The pullback candles overlap

   C. The pullback holds above the last confirmed higher low on a closing basis

   D. The pullback reached the 50 EMA

5. After a sharp, six-candle decline into the higher low, one small green candle closes. Is that enough evidence the pullback has ended?

   A. Yes — any green candle is a trigger

   B. No — one small candle after a run of large ones is a pause, not proof

   C. Yes, if it is above the 50 EMA

   D. Only on a Friday

How Deep Is a Normal Pullback?.

MODULE 2 — READING THE PULLBACK · LESSON 6

Mark the zone where a pullback is most likely to end by stacking the 20/50 EMAs, prior structure and the 38–62% retracement — and recognise when a pullback has gone too deep to trust.

You now know how to tell a healthy pullback from a reversal. The next question is the one every pullback trader asks while watching price drift against the trend: **where is this likely to stop?**

Nobody knows exactly. Anyone who tells you a pullback "will" end at 61.8% is selling something. But pullbacks are not random either. In a trending market they tend to end in a small number of recognisable areas, for reasons that have more to do with how traders behave than with any magic in the numbers. If you can mark those areas in advance, you stop reacting to every red candle and start waiting in the right place.

This lesson gives you three tools for measuring depth — moving averages, prior structure and retracement percentages — and one principle for combining them: **confluence**. A zone where two or three tools agree is worth waiting at. A level that only one tool likes is a suggestion, not a plan.

Tool one: the moving-average band

Lesson 4 used the 20 and 50 EMAs as a filter. They also make an excellent depth gauge, because they move with the trend. A fixed horizontal level from a week ago may be miles away by now; the averages are always where the market's recent "fair price" sits.

Think of the space between the 20 and the 50 as a band:

- **Shallow pullbacks** touch or barely pierce the 20 EMA. These are typical of strong, fast trends where buyers are impatient.
- **Normal pullbacks** reach into the band between the 20 and the 50.
- **Deep pullbacks** test the 50 itself, and occasionally close slightly through it before recovering.

A pullback that closes decisively beyond the 50 against the trend — several candles, not a single wick — is no longer behaving like an ordinary pullback. It is not automatically a reversal, but it has moved into the territory Lesson 5 warned about, and the burden of proof shifts.



In a fast, one-directional trend the pullbacks are short and shallow — roughly a quarter of each leg — and they stall around the 20 EMA. A trader insisting on a 50% retracement would never get in. Shallow pullbacks are a sign of strength, not a missed opportunity.

The point of that chart is not that the 20 EMA is special. It is that the **depth of pullbacks tells you about the trend's strength**. Fast trends pull back shallowly. Mature, tiring trends pull back deeply. You adjust where you wait to the trend you actually have.

Tool two: prior structure

The second tool is older than any indicator: **broken resistance tends to become support** (and broken support tends to become resistance in a downtrend).

When an uptrend makes a new high, it breaks through the previous high. That old high was a level where sellers once won. Once price has cleared it, traders who missed the breakout often place orders to buy if it comes back; traders who sold there and were proven wrong may buy back to close their positions near their entry. Whatever the mix of motives, the observable result is that pullbacks very often pause at or near the old breakout level.

On a chart, this is simple to mark. Find the swing high the current impulse broke through. Draw a line or a narrow zone at that level. If the pullback reaches it, you are at prior structure.

Two practical notes:

- Treat it as a **zone**, not a laser line. Price may undershoot or overshoot by a few pips; on H1 for major pairs, a zone of 8–15 pips is sensible.
- The most useful structure is the **most recent** broken level. A level from three swings ago is history.

Tool three: the retracement percentage

The third tool measures the pullback as a fraction of the impulse before it. Draw a retracement from the impulse's low to its high (in an uptrend). A pullback that gives back a third of the leg has retraced about 33%. One that gives back half has retraced 50%.

Most charting platforms label this tool "Fibonacci" and draw levels at 23.6%, 38.2%, 50%, 61.8% and 78.6%. You do not need to believe anything mystical about those ratios. What matters is the rough bands they describe:

- **Under 38%** — shallow. Common in strong trends; matches the 20 EMA zone.
- **38% to 62%** — the normal range for a healthy pullback. Most of your setups will form here.
- **62% to 79%** — deep. Still possible in a healthy trend, but the higher low is getting close and the reward to the prior high is shrinking.
- **Beyond 79%** — the pullback has erased almost the whole leg. The trend's last higher low is under threat and the setup should be treated as suspect.



Measure the impulse from its low to its high (122 pips here), then express the pullback as a fraction of it. This one gives back about 60 pips — roughly half — and ends inside the shaded 38.2–61.8% band before the trend resumes.

KEY POINT

Depth is measured against the impulse that preceded the pullback, not against the whole trend.

Confluence: where the tools agree

Each tool on its own is weak. Moving averages are approximate. Prior structure is a zone, not a line. Retracement percentages are bands, not levels. But when two or three of them point at the same area, that area becomes a genuinely good place to watch.

Here is the process, every time:

1. **Mark the impulse.** Identify the low and high of the most recent leg in the trend's direction.
2. **Shade the 38–62% band** of that impulse.
3. **Mark the most recent broken swing level** — the old high the impulse broke through.
4. **Note where the 20 and 50 EMAs are** right now, and where they will roughly be in a few candles' time (they are rising in an uptrend).
5. **Look for the overlap.** The area where at least two of these coincide is your **pullback zone**. Write down its upper and lower edge.



The old high, the 50 EMA and the middle of the 38–62% retracement all sit within about 15 pips of each other. That overlap is the pullback zone. The trader waits there, buys only after a rejection candle forms inside it, and targets the prior high.

Notice what the confluence does and does not do. It tells you **where to pay attention**. It does not tell you to buy. Price arriving in a zone is a reason to watch, not a reason to act — Lesson 7 covers the evidence you need before entering. In the chart above, the entry comes only after a candle has pushed into the zone and been rejected out of it.

COMMON MISTAKE

Placing a limit order at the 61.8% level and walking away. Pullbacks overshoot. A limit order fills on the way down, before any sign the pullback has ended — which is exactly the moment the strategy is designed to avoid.

Practice drill



Uptrend intact, price has fallen into a zone where the 50 EMA and the 38–62% retracement overlap. The last candle is a large red one. Trade or no trade?

THE REVEAL



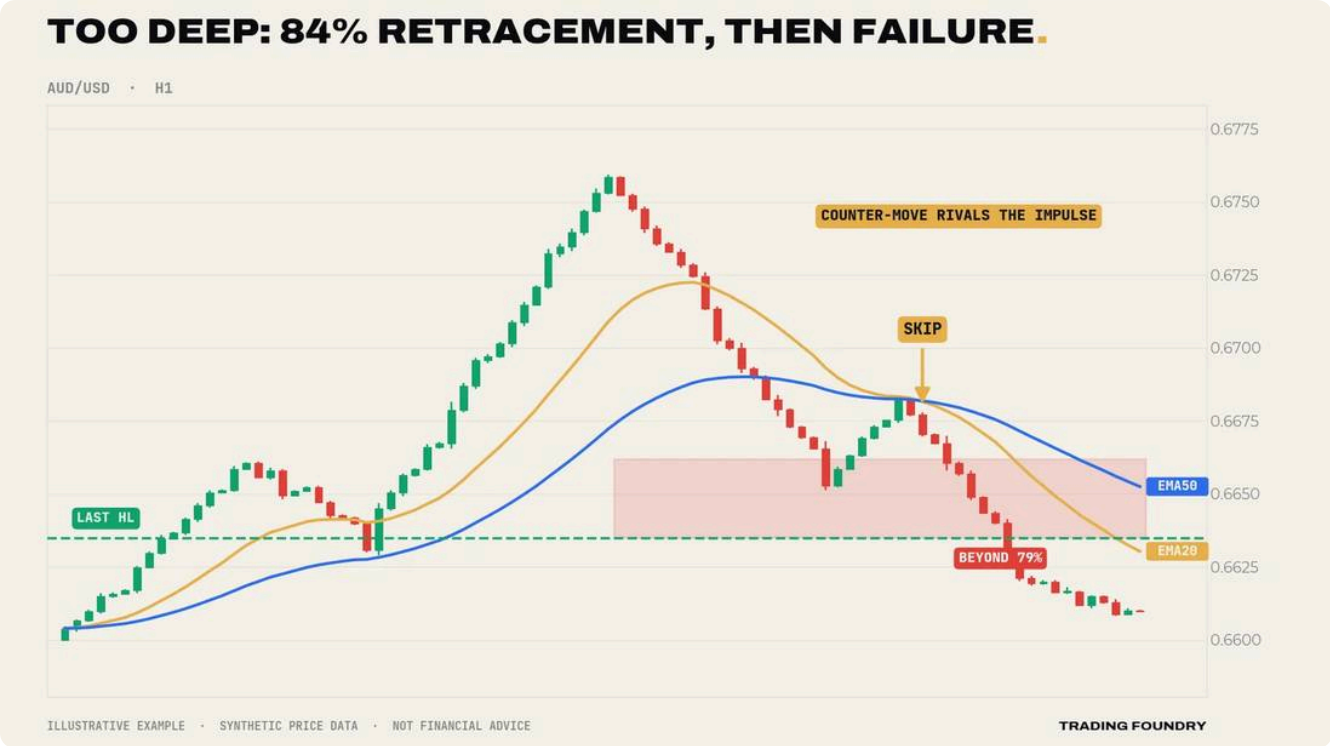
THE ANSWER

No trade yet. Price has only just reached the zone, on a run of large red candles, with no sign of rejection. Waiting cost nothing: price overshot the zone by another 20 pips, then printed a long-tailed rejection candle well above the last higher low. That candle — not the arrival — was the evidence. A limit order at the top of the zone would have been sitting 20 pips under water.

When the pullback goes too deep

The bands also tell you when to lose interest. A pullback that keeps going beyond about 79% of the impulse has given back almost everything the trend gained on its last leg. Several things are now true at once:

- The **last higher low is close**, so any stop beyond it gives you very little room before structure breaks.
- The **reward to the prior high** is no longer comfortably larger than the risk — because the prior high is now a long way above you, but so is any sensible confirmation.
- The **character** of the move has usually changed: the counter-move is starting to look like an impulse itself.



The pullback gives back about 84% of a 125-pip impulse and closes well below the 50 EMA. Any bounce here has a stop squeezed against the last higher low and a long way to the prior high. The weak rally fails and structure breaks — a pullback that deep had already stopped being a pullback.

That chart shows the price of ignoring depth. A trader who bought the bounce because "it is still above the higher low" was technically correct for a few candles, and then was not. Depth beyond 79% is not a rule that the trend has ended; it is a rule that **this setup has become poor value**, and poor value is reason enough to skip.

A worked depth plan

Here is the routine applied to a hypothetical H1 chart on EUR/USD, so you can see the numbers.

- Last impulse: low 1.0880, high 1.1000 — 120 pips.
- 38.2% retracement: 1.0954. 61.8% retracement: 1.0926.
- Old high broken by the impulse: 1.0935.
- 50 EMA currently near 1.0930 and rising about 1 pip per candle.
- Last confirmed higher low: 1.0880.

The overlap of the 38–62% band, the old high and the 50 EMA is roughly **1.0926 to 1.0940**. That is the pullback zone. The trader writes it down, sets a price alert at the top edge and does nothing until price gets there. If price arrives and prints a rejection candle, a trigger stop under that candle's low might sit around 1.0915 — still 35 pips above the higher low, which leaves a sensible margin. The prior high is 60–70 pips above a typical entry. With 20–25 pips of risk, that is roughly 2.5–3R to the first target before the trend even makes a new high.

If, instead, price slices through the zone and down to 1.0890, the plan is simple: the zone has failed, the higher low is 10 pips away, and the setup is skipped.

Going deeper

Why these levels "work" at all. There is no evidence that markets know about Fibonacci. What the 38–62% band captures is simply where pullbacks in a trend tend to cluster: big enough to shake out late buyers, small enough to leave the structure intact. Many traders watch the same levels, which may add a small self-fulfilling effect, but you should treat the levels as a description of typical behaviour, not a law. That is also why we insist on a zone and a trigger rather than a precise level.

Depth and expectancy trade off. Waiting only for deep pullbacks gives better prices and larger reward-to-risk ratios, but you will miss most strong trends, which rarely pull back that far. Accepting shallow pullbacks catches more trends but at worse prices with tighter margins. Neither is right. A sensible compromise is to let the **trend's own recent rhythm** decide: if the last two pullbacks stopped at the 20 EMA, expect the next to do something similar; if they reached the 50, wait for the 50.

Measuring from the right points. Always measure the impulse from the swing low that started it to the extreme of the high — wicks included, consistently. Measuring from a random intra-leg low makes every pullback look deeper than it is. If the impulse is unclear, the setup is probably unclear too.

Higher-timeframe overlap. The strongest pullback zones often coincide with a level from the timeframe above — the 20 EMA on H4 sitting in the same place as the 50 EMA on H1, for example. Lesson 9 shows how to look for that without drowning in lines.

Downtrends. Everything here mirrors exactly. Measure the impulse from its high to its low, shade the 38–62% band above the low, mark the old low that was broken (now likely resistance), and watch the 20 and 50 EMAs from below.

THE RULES

- Measure depth against the most recent impulse, from its swing low to its swing high (or high to low in a downtrend).
- Define a pullback zone where at least two of these overlap: the 20–50 EMA band, the most recent broken swing level, the 38–62% retracement.
- Arrival in the zone is never an entry on its own — wait for a trigger (Lesson 7).
- A pullback beyond roughly 79% of the impulse, or closing decisively beyond the 50 EMA, is treated as suspect and normally skipped.

Summary

- Pullbacks tend to end in a few recognisable places: the 20–50 EMA band, the most recent broken swing level, and the 38–62% retracement of the prior impulse.

- Shallow pullbacks signal a strong trend; deep pullbacks signal a tiring one. Let the trend's own rhythm guide where you wait.
- A zone where two or three tools overlap is where you pay attention — but you still need evidence before you enter.
- Beyond about 79% the setup becomes poor value: the higher low is too close and the trend's character is changing.
- Everything mirrors for downtrends.

CHECK YOURSELF · ANSWERS AT THE BACK

1. An impulse runs from 1.2600 to 1.2720. Roughly where is the 50% retracement?

   A. 1.2620

   B. 1.2660

   C. 1.2690

   D. 1.2700

2. What does a series of very shallow pullbacks that only touch the 20 EMA usually tell you?

   A. The trend is weak

   B. The trend is strong and buyers are impatient

   C. A reversal is imminent

   D. The 20 EMA is broken

3. Which combination best describes a high-quality pullback zone?

   A. A single 61.8% level

   B. The old broken high, the 50 EMA and the 38–62% band overlapping

   C. Any round number

   D. Wherever the RSI reaches 30

4. Price has just entered your pullback zone on a large red candle. What do you do?

   A. Buy immediately — it's in the zone

   B. Place a limit order at the bottom of the zone

   C. Wait for evidence the pullback has ended, such as a rejection candle

   D. Sell, because the candle is red

5. A pullback has retraced 85% of the prior impulse and is now trading below the 50 EMA. How should the pullback trader treat it?

   A. As the best possible entry, because the price is so low

   B. As suspect — the higher low is close and the trend's character is changing

   C. As proof the trend has reversed

   D. As a reason to widen the stop to 200 pips

Entry Triggers — Evidence the Pullback Is Over.

MODULE 3 — EXECUTION · LESSON 7

Use rejection candles and breaks of the pullback's own structure to time entries, so you buy after the pullback shows signs of ending rather than while it is still falling.

You have a trend. You have a healthy pullback. Price has arrived in a zone where the moving averages, the old breakout level and the 38–62% retracement agree. This is the moment most traders press the button.

It is also the moment this strategy asks you to wait a little longer.

Arrival is not evidence. A pullback that reaches your zone may stop there, or it may slice through it, or it may pause for three candles and then fall another 40 pips. You cannot tell which from the arrival alone. What you need is **evidence that the pullback has ended** — something on the chart that shows the counter-trend move losing its grip and the trend reasserting itself.

This lesson gives you two kinds of evidence, called **triggers**: the **rejection candle**, and the **break of the pullback's structure**. You need one of them, in the right place, before you enter. Without one, there is no trade, however good the zone looks.

Why wait for a trigger at all?

Because a trigger converts a guess into a test.

Without a trigger, your stop has to go somewhere arbitrary below the zone, and the market can keep falling into it with nothing to tell you the pullback is still alive. With a trigger, you have a specific candle or a specific swing that says "the pullback ended here". Your stop goes just beyond it. If price trades back through that point, the evidence has been contradicted and you are out — quickly, and for a small, known loss.

There is a cost. Waiting for a trigger means entering a little higher than the very bottom of the pullback. You will never buy the exact low. That is fine. The extra few pips buy you a much better-defined reason to be in the trade, and they filter out a large share of pullbacks that were never going to hold.

KEY POINT

The zone says where to look. The trigger says when to act. You need both.

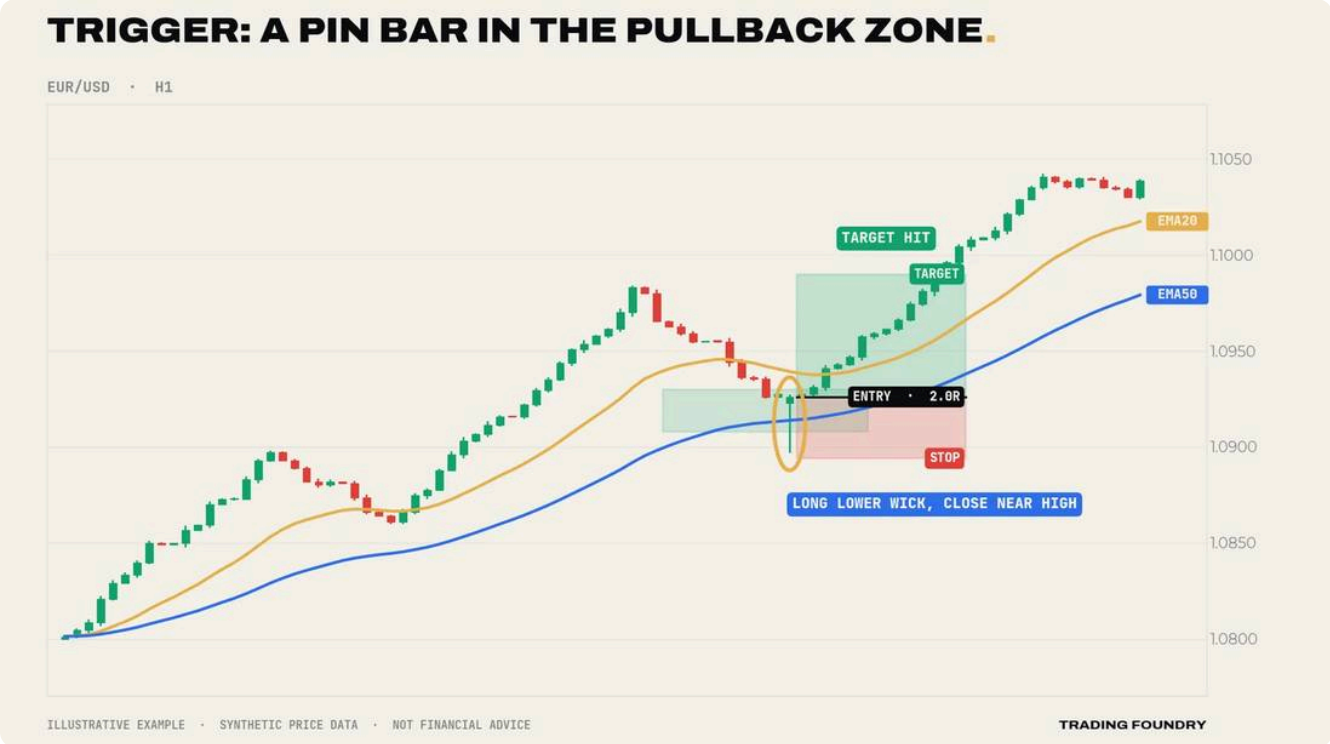
Trigger one: the rejection candle

A rejection candle shows, within a single bar, that price pushed into the zone and was pushed back out. In an uptrend you are looking for a candle that **trades down into the zone and closes back up near its high**. There

are two common shapes.

The pin bar. A candle with a long lower wick — at least twice the length of its body — and a close in the upper third of its range. The wick is the visible trace of sellers pushing price down and failing to keep it there. For our purposes the body colour matters less than where it closes: a pin bar closing near its high is a pin bar whether its body is green or slightly red.

The engulfing candle. A bullish candle whose body completely covers the body of the red candle before it. It shows buyers not merely holding the line but taking back everything sellers achieved in the previous bar — and more.



Price drifts into a zone shared by the 50 EMA and the 50% retracement, then prints a candle whose wick probes more than 25 pips lower before closing near its high. Entry is on the close; the stop sits three pips beneath the wick. The target, at 2R, sits just beyond the prior high.

What makes a rejection candle **valid** for this strategy:

1. **Location.** It forms inside your pullback zone, or its wick reaches into it. A beautiful pin bar in the middle of nowhere is just a candle.
2. **Size.** It is at least average size for recent candles. A tiny pin bar on a quiet hour tells you very little.
3. **Close.** It closes in the trend's direction — in the upper third of its range for longs, the lower third for shorts.
4. **Context.** The pullback has the character of a pullback: slower and smaller than the impulse, and the last higher low is intact.

The entry is simple: **enter at the close of the trigger candle** (or, if you prefer slightly more confirmation, on a break of its high in the next candle — at the cost of a slightly worse price). The stop goes a few pips beyond the candle's wick. Lesson 8 refines exactly how far.

The same idea in a downtrend

Everything mirrors. In a downtrend you are looking for a candle that **rallies up into the zone and closes back down near its low** — a bearish pin bar with a long upper wick, or a bearish engulfing candle that swallows the green candle before it.



In a downtrend, the pullback rallies back to the old swing low — now acting as resistance — and to the 50 EMA. A bearish candle then swallows the previous green candle whole. Sell on its close, stop above its high, first target at the prior low.

COMMON MISTAKE

Treating any candle with a wick as a pin bar. A pin bar's wick must be long relative to its body *and* to recent candles, and it must close near the opposite end. A candle with two wicks and a small body in the middle is indecision, not rejection.

Trigger two: break of the pullback's structure

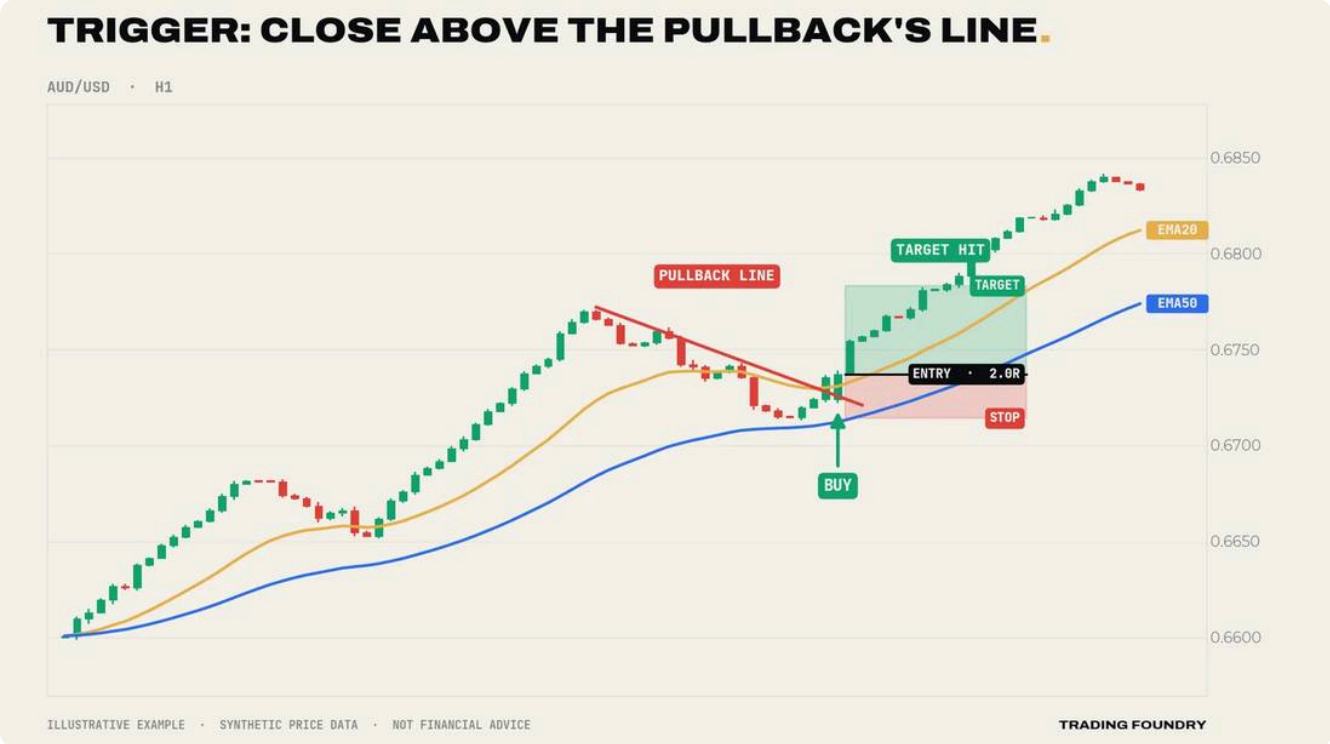
Not every pullback ends with a dramatic candle. Many end quietly. Price drifts down in a gentle staircase of lower highs and lower lows — a miniature downtrend inside the bigger uptrend — then stops making lower lows, and finally pushes back up through the last small lower high.

That push is your second trigger. Remember Lesson 2's definition of a trend: a sequence of swings. A pullback in an uptrend is a small downtrend. When that small downtrend breaks its own structure — when price closes above its most recent lower high — the pullback has ended by the same objective rules you use for trends.

There are two ways to mark it:

- **Small swing high.** Mark the most recent lower high inside the pullback. A candle **closing** above it is the trigger.
- **Counter-trend line.** Draw a line across the pullback's lower highs, as Lesson 3 described. A candle closing decisively above that line is the trigger.

They usually give the same signal within a candle or two. Use whichever is clearer on the chart in front of you.



No single dramatic candle here. The pullback is a staircase of lower highs. When a candle closes decisively above the line joining those highs, the pullback's own small downtrend has broken. Buy the close, stop below the pullback low, target 2R.

The structure-break trigger has one clear advantage: it often comes with a **stronger confirmation**, because by the time the pullback's line breaks, price has already moved off its low. It also has one clear disadvantage: the **entry is higher** and the stop, which still belongs beneath the pullback low, is therefore wider. Expect a smaller R multiple to the prior high than with a well-placed pin bar. Run the numbers each time; if the prior high is less than about 1.5R away, the setup is not worth taking.

Losing trades with good triggers

Here is the uncomfortable part. A valid trigger in a valid zone, in a valid trend, still fails a meaningful share of the time. Nothing on a chart prevents that.



Everything was in order: trend, zone, a genuine pin bar. Price then fell through the wick and stopped the trade for a 1R loss. Later the last higher low broke too. The trigger's job was not to guarantee a win — it was to make the loss small, early and unambiguous.

Look at what the trigger did here. It got the trader in at a sensible price, with a stop exactly where the idea "the pullback ended at this candle" was disproved. When price fell through the wick, the trader was out within a few candles, for a planned 1R loss — long before the trend's higher low broke and the pullback turned into a reversal. Without the trigger discipline, that same trader might have bought earlier, with no meaningful stop, and ridden the whole collapse.

The aim of a trigger is not to win every time. It is to **make every loss small and explainable**, so that the winners — which run to the prior high and beyond — can pay for them.

Practice drill



Uptrend, pullback to the 50 EMA around the middle of the last impulse, and the most recent candle has just closed. The ringed candle has just closed. Would you buy its close?

THE REVEAL



THE ANSWER

Trade. The uptrend is intact (higher highs, higher lows, 20 EMA above a rising 50). The pullback was slower than the impulse and retraced roughly 45%, into the 50 EMA. The last candle is a genuine bullish engulfing — larger than recent candles, closing near its high, swallowing the red candle before it. Entry on its close, stop below its low, first target the prior high at about 2.2R. This one worked; the process would have been just as right if it had not.

Choosing between the two triggers

You do not need to prefer one trigger in every situation. A useful rule of thumb:

- When the pullback ends with a **sharp spike** into the zone, a **rejection candle** is the natural trigger. Waiting for the pullback's structure to break would put your entry too far from the low.
- When the pullback is a **slow, orderly drift**, the **structure break** is usually cleaner. Slow drifts produce few dramatic candles, and the pin bars that do appear are often small and unconvincing.

Whichever you use, write it down in advance. "If a rejection candle closes in the zone, I buy its close. If price drifts through the zone without one, I will buy a close above the pullback line, provided the prior high is still at least 1.5R away." A trader with a written plan does not invent triggers in the moment.

Going deeper

Close versus intrabar. Every trigger in this course is judged on a **closed** candle. A pin bar that is forming looks perfect until the last five minutes, when price drops and turns it into an ordinary red candle. If you trade from an H1 or H4 chart, set an alert for the candle close and decide then.

Entry refinements. Experienced traders sometimes enter on a 50% retracement of the trigger candle itself, using a limit order, to improve the price. It does improve the R multiple when it fills. It also misses the strongest moves, which never look back. If you use it, test it on your own records and be honest about the trades it skips.

Trigger on a lower timeframe. You can look for the trigger on a lower timeframe than the one that defines the trend — for example, an H4 trend and zone, with the trigger taken from the H1 chart. This often gives a tighter stop. It also gives more false triggers. Lesson 9 covers this alignment properly.

What the trigger does not do. A trigger is not a forecast. It is a small, observable fact — the pullback was rejected here — and the trade is a bet that this small fact is the start of the next impulse. Treat it with the respect a small fact deserves: one candle cannot outweigh a broken structure, a range or a higher timeframe pointing the other way.

Hypothetical expectancy. Suppose, purely for illustration, a trader takes 100 trades with an average win of 2.2R and an average loss of 1R. At a 35% win rate, the expectancy is 0.35 × 2.2 − 0.65 × 1 = 0.12R per trade. At 30% it is −0.04R. These are invented numbers, not a forecast, but they show how much depends on the R multiple — which is why the trigger's job of keeping the stop tight matters so much.

THE RULES

- No trigger, no trade: arrival in the zone is never enough on its own.
- Valid triggers: a rejection candle (pin bar or engulfing) closing in the trend direction from inside the zone, or a close beyond the pullback's own last swing or counter-trend line.
- Judge every trigger on a closed candle.
- Enter on the trigger's close; stop a few pips beyond the trigger candle or the pullback extreme.
- If the first target is less than about 1.5R away, skip the trade.

Summary

- A trigger is evidence the pullback has ended; without one there is no trade.
- Rejection candles — pin bars and engulfings — show price being pushed into the zone and rejected out of it, within one bar.
- A close beyond the pullback's own small structure or counter-trend line is the second trigger, cleaner after slow drifts.
- Valid triggers still lose. Their purpose is to make every loss small, early and explainable.
- Judge triggers on closed candles, write your trigger rules down in advance, and skip anything under about 1.5R to the first target.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Price has just reached a strong pullback zone. Why does the strategy still wait for a trigger?

   A. Because zones never hold

   B. Because arrival gives no evidence the pullback has ended and no logical place for a tight stop

   C. Because brokers require confirmation

   D. To make sure the trade is a winner

2. Which candle is a valid bullish pin bar for this strategy?

   A. A small candle with equal wicks above and below

   B. A candle in the zone with a lower wick over twice its body, closing in the upper third of its range

   C. Any green candle at the 50 EMA

   D. A large red candle with a long upper wick

3. When is a structure-break trigger usually the better choice?

   A. After a sharp spike into the zone

   B. After a slow, orderly drift with few decisive candles

   C. Only on Mondays

   D. When the trend has already ended

4. A valid pin bar trade is stopped out for 1R. What does this tell you about the trigger?

   A. Pin bars do not work

   B. Nothing on its own — valid triggers lose regularly; the trigger kept the loss small and early

   C. The stop should have been 100 pips wider

   D. The trader should double size next time

5. A forming H1 candle looks like a perfect pin bar with ten minutes left. What should you do?

   A. Enter now to get a better price

   B. Wait for the candle to close and judge it then

   C. Enter half now and half later

   D. Move to the M1 chart and enter there

6. After a structure-break trigger, the prior high is only 1.2R away. What do you do?

   A. Take it anyway — the trigger is valid

   B. Skip it — the reward to the first obstacle is too small

   C. Move the stop closer until it is 2R

   D. Remove the target

Stops, Targets and Position Size.

MODULE 3 — EXECUTION · LESSON 8

Place stops beyond the swing that proves you wrong, choose targets from prior highs, measured moves or fixed R multiples, and size every trade so a loss costs a planned fraction of your account.

Most traders spend ninety per cent of their effort on entries and ten per cent on everything else. It should probably be the other way round. A mediocre entry with a well-placed stop, a sensible target and the right position size can still make a sound trade. A brilliant entry with a stop in the wrong place, a target picked from thin air and a position that is too large will eventually hurt you, however good the trigger looked.

This lesson covers the three numbers every pullback trade needs before you enter: **where you are wrong** (the stop), **where you will take profit** (the target), and **how much you trade** (the position size). They are not afterthoughts. They decide whether the trade is worth taking at all.

The stop goes where the idea is wrong

A stop is not a pain threshold. It is not "the most I can bear to lose". It is the price at which the reason for the trade has been **disproved by the market**. Everything else follows from that.

For a pullback trade, the idea is: *the pullback ended at this point, and the trend is resuming*. So the stop belongs just beyond the point where the pullback ended. There are two versions, which Lesson 1 introduced.

The trigger stop. A few pips beyond the extreme of the trigger candle or the pullback low — whichever is further. If price trades back through it, the evidence that the pullback ended has been contradicted. This is the default for this course: tight, cheap and quick to tell you when you are wrong.

The structural stop. Beyond the last confirmed higher low of the trend (or lower high in a downtrend). If price trades there, the trend itself is broken. It is wider, so the position must be smaller, but it is hit less often. It suits traders who cannot watch the market closely, and setups where the pullback low and the trend's higher low are close together anyway.



The trigger stop sits three pips below the pin bar's wick — 24 pips of risk, and 2.1R to the prior high. The structural stop sits below the trend's last higher low, almost three times further away. Both are logical; they simply answer different questions and need different position sizes.

Whichever you choose, add a **buffer**. Price often overshoots a level by a few pips — a spread widening, an order being filled, a wick running stops — before turning. Placing your stop exactly on the low invites that. A buffer of 2–5 pips on H1 majors, or about 10–20% of the average candle range, is a sensible starting point. On gold or yen pairs, measure the buffer in the same proportion rather than the same number of pips.

KEY POINT

The stop marks the price where the market proves your idea wrong — not the amount you are comfortable losing.

The stop in empty space

The most common stop mistake is not a stop that is too wide. It is a stop that is placed for convenience — "15 pips feels right" — in a spot that means nothing.



A valid pin bar, but the trader wanted a small stop, so it went six pips below entry — inside the very wick that formed the trigger. An ordinary dip took it. The logical stop beneath the wick was never touched, and the trend carried on without them.

That trader did not lose because the analysis was wrong. They lost because the stop was placed where the market routinely goes during a perfectly healthy continuation. If the logical stop makes the trade too expensive, the answer is a **smaller position**, not a closer stop. If even a small position cannot make the numbers work, the answer is to **skip the trade**.

COMMON MISTAKE

Moving the stop closer to make the R multiple look better. It does make the number look better — right up until an ordinary wick takes you out of a trade that was going to work.

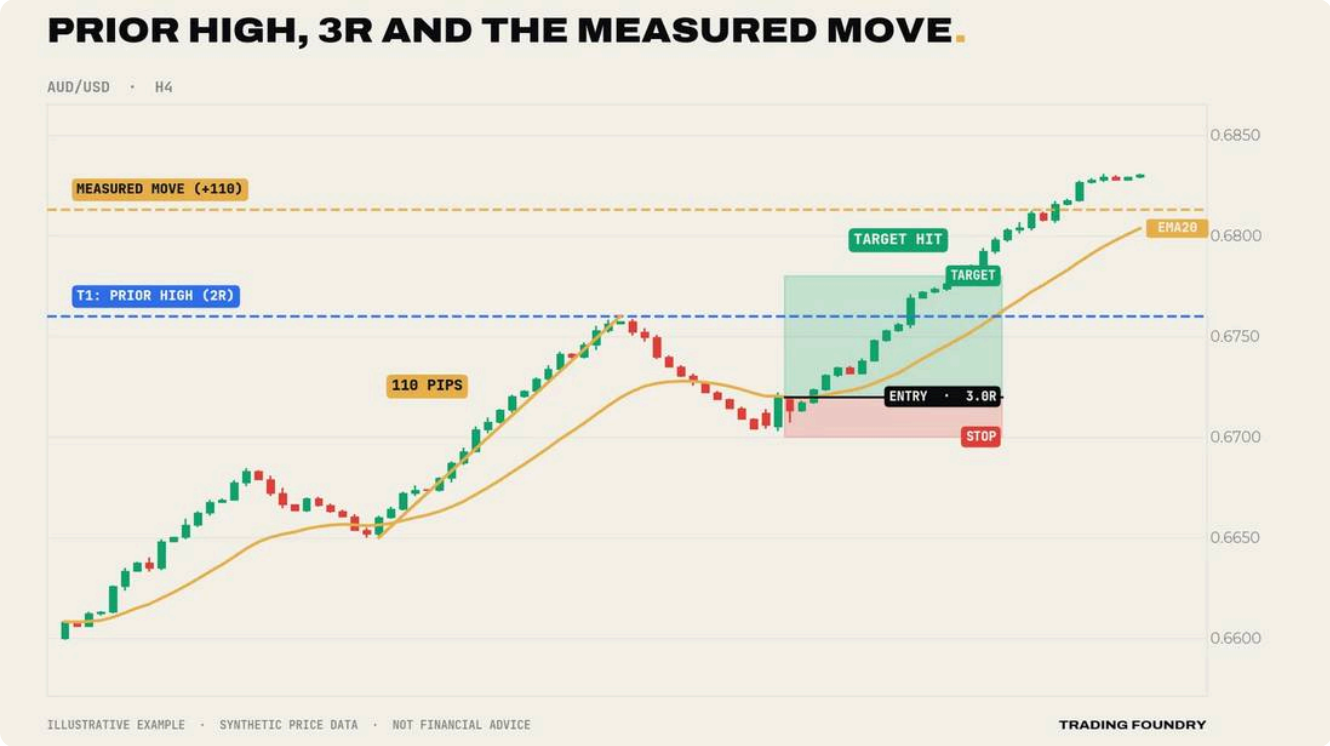
Targets: three ways to take profit

A pullback trade has three natural targets. You can use one, or combine them.

1. The prior high. The extreme of the impulse before the pullback (in an uptrend). This is the first obstacle: price has turned there before, and some sellers will be waiting. It is the most conservative target and the one this course uses as the **first** target and the **minimum** test of a trade: if the prior high is not at least 1.5R away, the trade is skipped.

2. The measured move. Trends often produce legs of similar size. Measure the previous impulse — say 110 pips — and project the same distance from the pullback low. It gives a sensible estimate of where the next leg might reach if the trend's rhythm continues. Treat it as a likely area, not a promise.

3. A fixed R multiple. A target at, say, 2R or 3R regardless of chart levels. It is mechanical and easy to test, and it stops you agonising over levels. Its weakness is that it ignores structure: a 3R target placed just beyond a major prior high may be harder to reach than the same target with clear space above it.



Entry on a bullish engulfing at the pullback low, 20 pips of risk. The prior high is 2R away — the first target and the minimum test. A fixed 3R target sits above it. The measured move — the 110-pip impulse projected from the pullback low — marks where the next leg might reach if the rhythm holds.

Combining targets

A practical, widely used approach is to **split** the position:

- Close half at the prior high (T1).
- Move the stop on the remainder to breakeven or to just below the trigger candle's low.
- Let the remainder run to the measured move or 3R, or trail it behind new higher lows.

Splitting smooths your results: you bank something on many trades and still let a few run. The cost is that, on the trades that run cleanly to 3R, you will have made less than a trader who held the full position. There is no free lunch; choose a method and use it consistently so your records mean something.

Trailing the stop behind structure

Once a trade is well in profit, the same logic that placed your first stop can manage the rest. In an uptrend, each new confirmed higher low is a new level where the trend would be proven wrong. Move the stop to just beneath each new higher low as it is confirmed, and never move it backwards.



After entry, the stop is raised to just below each newly confirmed higher low. The red steps never move backwards. The trade stays open for as long as the trend's structure holds — and closes automatically when it does not.

Trailing behind structure captures the big trends that occasionally run much further than any fixed target. It also gives back a meaningful chunk at the end, because the stop sits below the last higher low, not at the top. That is the price of letting winners run.

When there is no room: the trade you skip

Targets are not only for exits. They are a **filter**. Before entering, measure the distance from entry to the first obstacle — usually the prior high — and divide by the distance to your stop.



A shallow pullback ends with a huge pin bar. The candle itself is fine, but its long wick puts the logical stop 36 pips away while the prior high is only 19 pips above. Half a unit of reward for a full unit of risk. The trend did continue — and skipping was still right, because nothing in the plan could justify that ratio.

This is a hard rule to follow, because the trade in that chart worked. But a plan that takes 0.5R trades will need to win two out of every three of them merely to break even. Over enough trades, poor ratios drain an account even when the reading of the trend is good.

Position size: the number that keeps you in the game

Every trade in this course is sized by **risk**, not by lots or by feel. Decide in advance what fraction of your account you will lose if the stop is hit — illustratively 0.5% to 1% — and let the stop distance determine the size.

A worked example with illustrative figures:

- Account: £10,000. Risk per trade: 1% = **£100**.
- Stop distance: **24 pips** (the trigger stop in the first chart).
- Illustrative pip value on EUR/USD: about **£7.50 per pip** for one standard lot (it varies with exchange rates and your account currency — check your platform).
- Size = £100 ÷ (24 × £7.50) = **0.56 lots**.

Now use the structural stop instead: 70 pips. Size = £100 ÷ (70 × £7.50) = **0.19 lots**. Same £100 at risk; a much smaller position. That is the whole point: the stop decides where you are wrong, and the size decides how much being wrong costs. Change one and the other must change with it.

Keep risk per trade constant across all setups, however confident you feel. Losing streaks happen to every method. At 1% per trade, ten losses in a row costs about 10% of the account — painful, survivable. At 5% per trade, the same streak costs about 40%, and the maths of recovering from that is brutal.

Going deeper

Breakeven stops. Moving the stop to breakeven early feels safe and often costs money: it converts many trades that would have dipped and then won into scratch trades. A common compromise is to move to breakeven only after T1 is hit, or after a new higher low has formed above entry.

Volatility-scaled buffers. Fixed pip buffers behave differently in quiet and busy conditions. Using a fraction of the Average True Range (for example 0.2 × ATR(14)) keeps the buffer proportional to how much the market is currently moving.

Expectancy, hypothetically. Imagine — with invented numbers — that a trader's pullback trades win 40% of the time and lose 60%. If every winner is closed at 2R and every loser costs 1R, expectancy is 0.4 × 2 − 0.6 × 1 = +0.2R per trade. If the same trader starts accepting 1R targets, expectancy becomes 0.4 × 1 − 0.6 = −0.2R, even though the entries are identical. That is why the 1.5R minimum is a rule rather than a preference.

Gaps and slippage. A stop is an instruction, not a guarantee. Over weekends or around major data releases, price can jump past a stop and fill worse. Size so that an occasional fill at 1.5R does not change your plans.

THE RULES

- The stop goes beyond the point that disproves the trade — the trigger extreme or the last swing — plus a small buffer. Never in empty space.
- If the logical stop is too far, trade smaller or skip. Never move the stop closer to improve the ratio.
- The first target is the prior high (or low). If it is less than about 1.5R away, skip the trade.
- Size every trade so a stop-out costs the same planned fraction of the account (illustratively 0.5–1%).
- Stops move only in the trade's favour.

Summary

- Stops mark where the market proves the trade wrong: beyond the trigger (default) or beyond the last swing (structural), with a small buffer.
- A stop in empty space, or inside the trigger's own wick, is the most common way to lose on a correct read.
- Targets: prior high first, then a measured move, fixed R multiple or trailing stop behind new swings.
- The distance to the first obstacle is a filter — under about 1.5R, skip.
- Position size comes from the stop distance and a fixed fraction of the account, so every loss costs the same.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Where does the default stop go in this strategy?

   A. A fixed 20 pips below entry

   B. A few pips beyond the trigger candle's extreme or the pullback low

   C. At the 200 EMA

   D. Wherever keeps the loss under £50

2. The logical stop for a setup is 60 pips away, which is more than you would like. What is the correct response?

   A. Move the stop to 25 pips

   B. Reduce position size so the risk stays at your planned percentage, or skip

   C. Double the position to make it worthwhile

   D. Remove the stop

3. An impulse measured 120 pips. The pullback low is at 1.2700. Where is the measured-move target?

   A. 1.2580

   B. 1.2760

   C. 1.2820

   D. 1.2940

4. Entry 1.0950, stop 1.0920, prior high 1.0980. Should you take the trade?

   A. Yes — the trigger is valid

   B. No — the prior high is only 1R away, below the 1.5R minimum

   C. Yes, but move the stop to 1.0940

   D. Only with double size

5. Account £8,000, risk 1%, stop 40 pips, illustrative pip value £8 per lot. What size?

   A. 2.5 lots

   B. 0.25 lots

   C. 1 lot

   D. 0.08 lots

6. In a running long trade, a new higher low has been confirmed above your current stop. What does the trailing method do?

   A. Leaves the stop where it is

   B. Raises the stop to just below the new higher low

C. Moves the stop to the entry candle

D. Closes the trade

Multi-Timeframe Alignment.

MODULE 3 — EXECUTION · LESSON 9

Use a higher timeframe to define the trend and the pullback zone, a lower timeframe to time the trigger, and stand aside when the two disagree.

Here is a puzzle that catches almost every trader at some point. On the one-hour chart, a pair is in a clean uptrend: higher highs, higher lows, the 20 EMA above a rising 50. You buy a textbook pullback. Within a day you are stopped out, and when you finally zoom out to the four-hour chart, you see why: the whole one-hour "uptrend" was a single pullback inside a four-hour downtrend, and you bought it just as it reached the level where the bigger trend resumed.

Nothing was wrong with your one-hour analysis. It was simply the wrong question. A trend exists on a particular timeframe, and the same market can trend up on one and down on another at the same moment. Lesson 2 noted this as a matter of magnification. This lesson turns it into a working method.

One market, several magnifications

Think of timeframes as zoom levels on the same map. The daily chart shows the motorway. The four-hour chart shows the junctions. The one-hour chart shows the individual lanes. A car changing lanes on the motorway is still travelling in the motorway's direction — unless it is taking an exit.

For a pullback trader, the useful structure is this:

- **The higher timeframe defines the trend and the zone.** It answers: which way is the market trending, and where is the current pullback likely to end?
- **The lower timeframe times the trigger.** It answers: has the pullback ended yet, and where exactly does my stop go?

A pullback on the higher timeframe is, by definition, a small trend in the opposite direction on the lower timeframe. When the higher-timeframe pullback ends, the lower timeframe shows it as a **trend change** — the counter-trend structure breaks, and the lower timeframe swings back into line with the higher one. That moment, inside the higher-timeframe zone, is the entry.

Choosing your pair of timeframes

Use a ratio of roughly four to six between them. Common pairings:

- **Daily trend, H4 trigger** — swing traders checking twice a day.
- **H4 trend, H1 trigger** — part-time traders checking several times a day.
- **H1 trend, M15 trigger** — traders who can watch a full session.

Too close a ratio (H1 and M30) and the two charts tell you the same thing. Too wide (daily and M5) and the lower timeframe is so noisy that most "triggers" are meaningless.

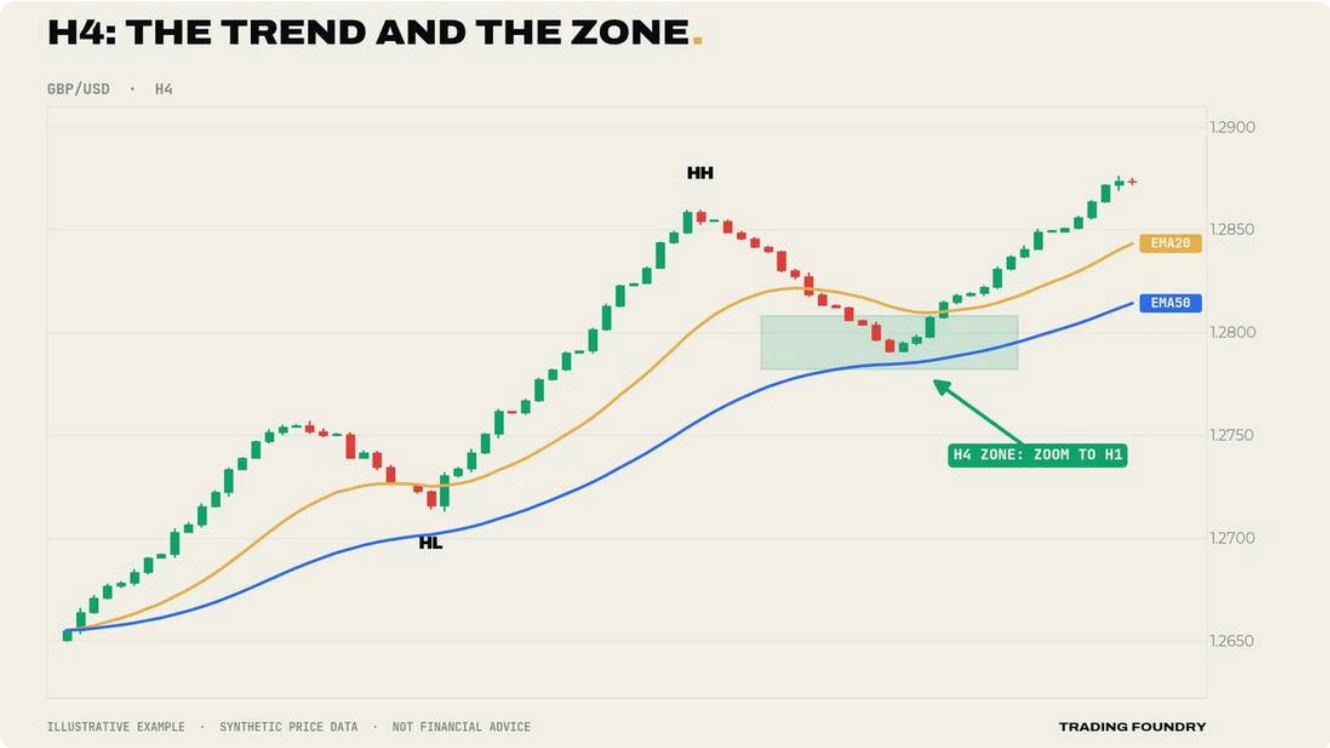
KEY POINT

The higher timeframe decides *whether* and *where*. The lower timeframe decides *when*.

The top-down routine

Step 1 — Higher timeframe: trend. Apply Lessons 2 and 4. Higher highs and higher lows? 20 EMA above a rising 50? If not, stop here.

Step 2 — Higher timeframe: pullback and zone. Is the current move against the trend a healthy pullback (Lesson 5)? Mark the zone (Lesson 6): the EMA band, the old breakout level and the 38–62% band of the last impulse.

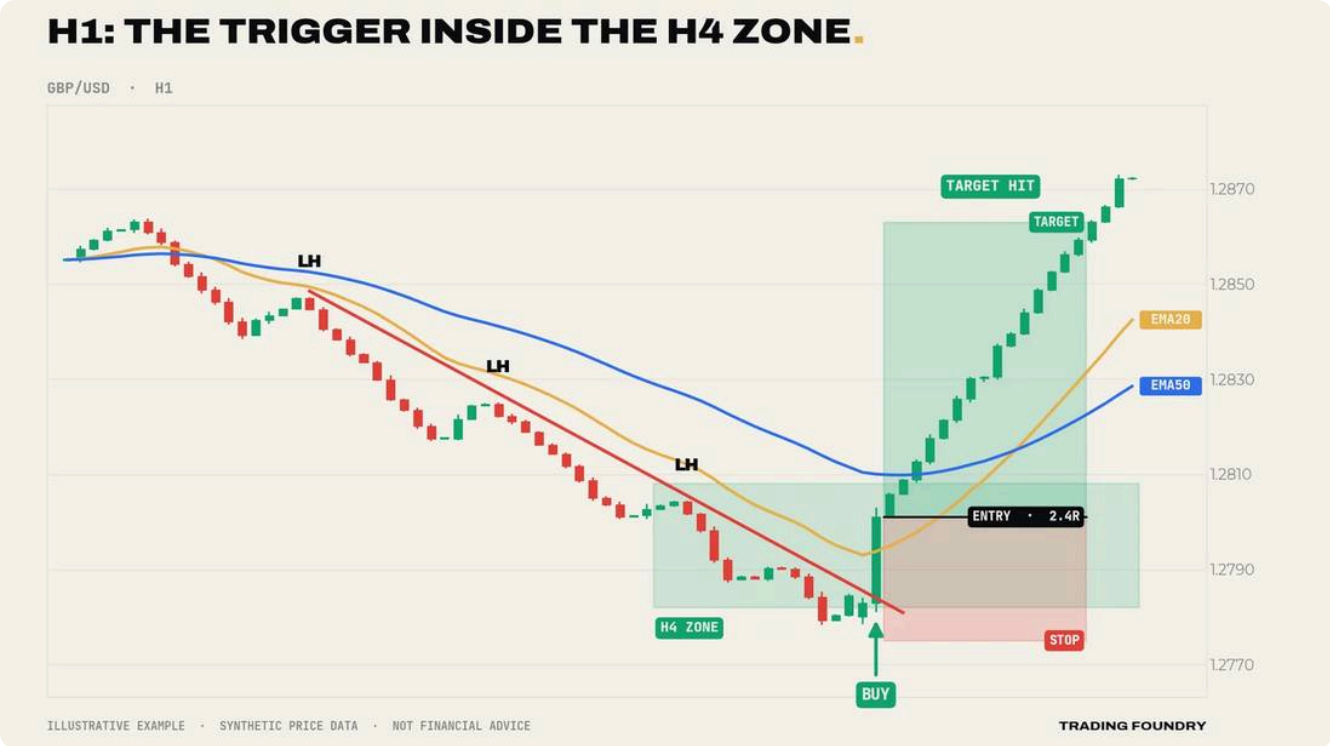


The four-hour chart supplies the context: higher highs, higher lows, 20 EMA above a rising 50. The pullback from the high has drifted into a zone where the 50 EMA and the middle of the last impulse agree. The H4 chart says where to look; it does not yet say when.

Step 3 — Lower timeframe: wait. Drop to the lower timeframe only when price is in or near the higher-timeframe zone. On the lower chart, the pullback will look like a downtrend: lower highs, lower lows, often a clean counter-trend line.

Step 4 — Lower timeframe: trigger. Wait for that small downtrend to break: a close above its last lower high or its counter-trend line, or a decisive rejection candle at the zone (Lesson 7).

Step 5 — Stop and target. Stop beyond the lower-timeframe pullback low (usually tighter than anything the higher timeframe could offer). First target: the higher-timeframe prior high.

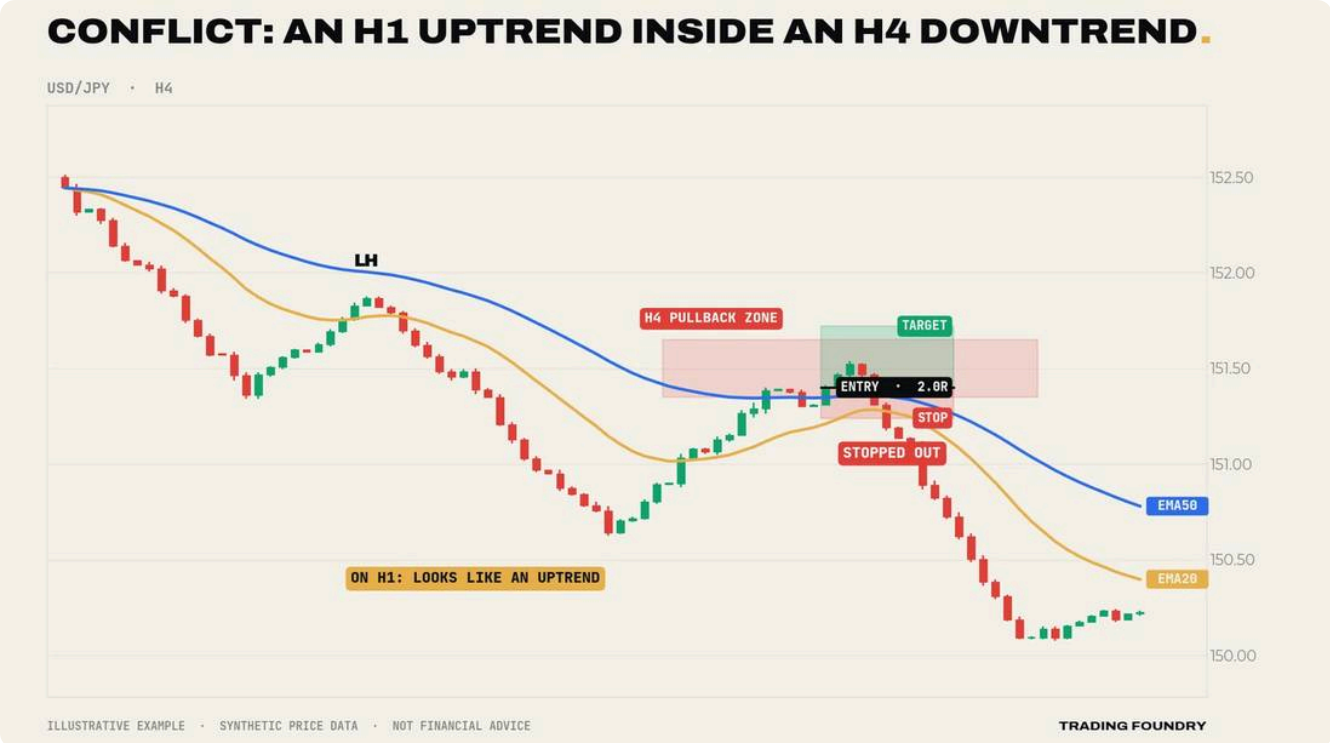


The same pullback on the one-hour chart is a small downtrend of lower highs. Inside the H4 zone, a strong candle closes through the counter-trend line and above the last lower high: the H1 downtrend has broken. Stop below the H1 pullback low, first target the H4 prior high.

Notice the stop. On the H4 chart, the only obvious stop would be below a four-hour candle's low or below the H4 higher low — wide, and expensive. On the H1 chart, the pullback low is close to the entry. The higher timeframe gave the direction and the target; the lower timeframe gave a precise trigger and a tighter stop. That combination is the main practical benefit of working across timeframes.

When the timeframes disagree

The other benefit is defensive. Most of the trades that multi-timeframe analysis improves are the ones it **removes**.



The rally from the low is a clean uptrend on the one-hour chart. On the four-hour chart it is a pullback in a downtrend, and it has just reached the H4 zone where sellers would be expected. The H1 'pullback buy' is a bet against the larger trend at exactly the wrong place.

The rule is simple: **only take lower-timeframe triggers in the direction of the higher-timeframe trend**. When the higher timeframe is trending down, lower-timeframe buy signals are counter-trend trades, however tidy they look. When the higher timeframe has no trend — a range, or the tangle of flat averages from Lesson 4 — the strategy has no direction to align with, and you stand aside on both timeframes.

There are three possible states, and only one of them is a green light:

1. **Aligned.** Higher timeframe trending; lower timeframe pulling back and then breaking back into line. Trade.
2. **Opposed.** Higher timeframe trending the other way. No trade in the lower timeframe's direction. If anything, the lower-timeframe rally is the higher timeframe's pullback — a potential setup *in the higher timeframe's direction* later.
3. **Undefined.** Higher timeframe ranging or ambiguous. No trade.

COMMON MISTAKE

Looking at the higher timeframe only after taking a lower-timeframe trade, to find reasons it will work. The higher timeframe is step one, not a second opinion.

Levels from the timeframe above

Sometimes the higher-timeframe trend is fine, but a major level from that timeframe sits right in the way.



The H4 trend is up and the pullback looks healthy, but the prior high sits just beneath a zone where the daily chart has turned lower before. Any rally is likely to stall in that ceiling. With so little room beyond the first target, the sensible choices are a reduced target or no trade.

This is where many traders over-complicate things. You do not need to check six timeframes. A quick look at the **next timeframe up** from your trend timeframe — the daily, if you trade H4 — for one thing only: is there a major level between my entry and my target? If there is, either use it as the target or skip the trade if that leaves less than 1.5R.

A worked top-down example

Illustrative numbers on GBP/USD, trading H4 and H1:

- **Daily:** price in an uptrend; no major resistance until well above 1.2950.
- **H4:** higher highs and higher lows; 20 EMA above a rising 50. Last impulse 1.2722 to 1.2860. The 50% level is 1.2791; the 50 EMA is near 1.2795; the old high from before the impulse is about 1.2785. H4 zone: **1.2780–1.2805**.
- **H1:** price enters the zone in a staircase of lower highs. The trader draws the line across them and sets an alert. Several hours later an H1 candle closes at 1.2801, above the line and above the last lower high at 1.2795.
- **Stop:** below the H1 pullback low of 1.2780, with a buffer: 1.2776. Risk 25 pips.
- **Target:** H4 prior high at 1.2860, 59 pips away: about 2.4R. Comfortably above the 1.5R minimum.
- **Size:** 1% of the account divided by 25 pips' worth of pip value (Lesson 8).

Every number in that plan was decided before the trigger candle closed. The trader's only job at that point was to check the close against the line and press the button — or not.

Going deeper

Why alignment helps. When a higher-timeframe pullback ends, traders on several timeframes tend to be acting in the same direction at roughly the same time: higher-timeframe traders buying their zone, lower-timeframe traders buying their structure break. The observable result is that aligned triggers often move away from the entry faster. That is a tendency, not a law, and it is one reason the tight lower-timeframe stop is affordable.

The cost of alignment. You will take fewer trades. Some lower-timeframe trends that run strongly against the higher timeframe will be missed — occasionally that is the start of a new higher-timeframe trend, and you will be late to it. Accept that in exchange for avoiding the much more common case: buying the top of a higher-timeframe pullback.

Do not over-stack. Two timeframes, plus a glance at a third for major levels, is enough. Requiring daily, H4, H1 and M15 all to agree will leave you with almost no trades, and the few left will often be late. If you use the 200 EMA as a regime filter (Lesson 4), you may not need the third timeframe at all; they measure much the same thing.

When the trigger timeframe's trend changes first. Sometimes the lower timeframe forms a clean new uptrend while the higher-timeframe pullback has not reached the zone — a shallow pullback. In a strong higher-timeframe trend, this can be acceptable if the reward to the prior high still exceeds 1.5R. In a weaker trend, wait for the zone.

THE RULES

- Define trend and pullback zone on the higher timeframe first. No higher-timeframe trend, no trade.
- Take triggers only on the lower timeframe, only inside or near the higher-timeframe zone, and only in the higher timeframe's direction.
- Use a timeframe ratio of roughly four to six (D1/H4, H4/H1, H1/M15).
- Check the next timeframe up for a major level between entry and target; if it leaves less than 1.5R, skip.

Summary

- A trend belongs to a timeframe; the same market can trend in opposite directions on different ones.
- The higher timeframe decides whether to trade and where the zone is. The lower timeframe decides when, and gives a tighter stop.
- A higher-timeframe pullback ends as a lower-timeframe trend change inside the zone — that is the entry.
- When the timeframes disagree, there is no trade. When the higher timeframe is ranging, there is no trade.
- Glance one timeframe higher for major levels in the way; do not stack more timeframes than you need.

CHECK YOURSELF · ANSWERS AT THE BACK

1. In a two-timeframe pullback method, what is each timeframe for?

   A. Higher: trigger; lower: trend

   B. Higher: trend and zone; lower: trigger and stop

   C. Both must show a trigger

   D. Higher: stop; lower: target

2. The H1 chart is in a clean uptrend, but the H4 chart is in a downtrend and price has rallied into the H4 pullback zone. What does the strategy say?

   A. Buy the H1 pullback

   B. No long trades; the H1 rally is an H4 pullback reaching resistance

   C. Buy with double size

   D. Ignore the H4 chart

3. Which timeframe pair has a sensible ratio for this method?

   A. H1 and M30

   B. Daily and M5

   C. H4 and H1

   D. H4 and H2

4. On the lower timeframe, what does the end of a higher-timeframe pullback usually look like?

   A. A sudden gap

   B. A break of the lower-timeframe counter-trend structure — a close above its last lower high or line

   C. RSI reaching 50

   D. The 200 EMA crossing the 50

5. The H4 setup is valid, but a major daily resistance sits 20 pips above entry and the stop is 25 pips. What do you do?

   A. Take it, targeting the H4 measured move

   B. Skip it — under 1.5R to a major obstacle

   C. Move the stop to 10 pips

   D. Switch to the M5 chart

When the Trend Ends — and Ranges Where the Strategy Fails.

MODULE 4 — KNOWING WHEN TO STOP, AND THE PLAYBOOK · LESSON 10

Recognise the structure break that ends a trend, avoid buying "pullbacks" in a market that has stopped trending, and know when the strategy should simply stay flat.

Every trend ends. That sounds obvious, but the pullback strategy has a particular weakness around trend endings, and it is worth facing directly: the last pullback of a trend looks almost exactly like every pullback before it. The market drifts back into the zone, the averages are still pointing the right way, and a perfectly respectable trigger candle appears. Then, instead of resuming, the trend rolls over.

You cannot avoid that entirely. What you can do is recognise the moment the trend is **objectively over**, stop looking for trades in its direction from that point, and recognise the conditions — ranges above all — in which the strategy should simply not be used. This lesson covers both.

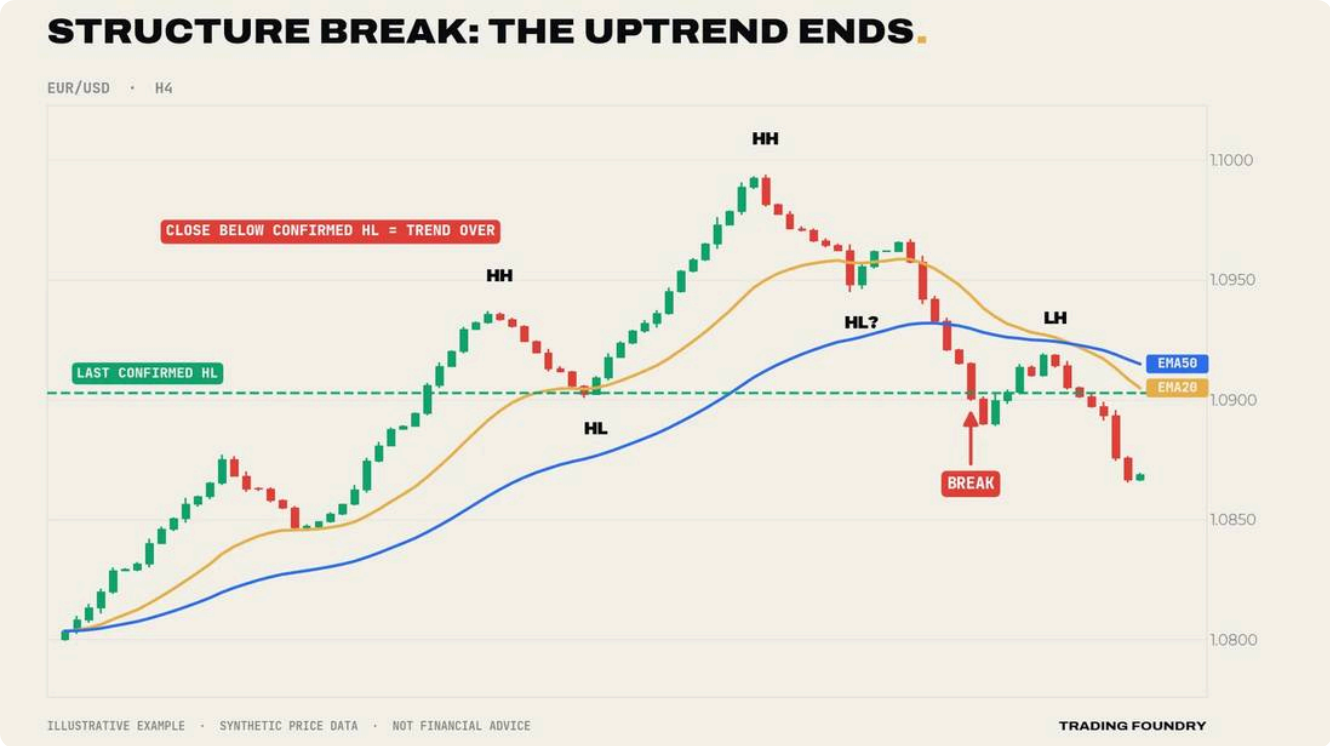
The definitive signal: the structure break

Lesson 2 gave you a definition of an uptrend: higher highs and higher lows. The definition has teeth. An uptrend is over when price **closes below the last confirmed higher low**. A downtrend is over when price closes above the last confirmed lower high.

Two words in that rule do a lot of work.

Closes. A wick below the higher low that closes back above it is not a break. Markets routinely probe below obvious levels before turning back. The structure has held if the candle closes on the right side.

Confirmed. A higher low is only confirmed once price has gone on to make a new higher high after it (Lesson 2). A pullback low that has not yet been followed by a new high is a candidate, not a confirmed level. This matters, because it means the trend's invalidation level is often **further away** than the most recent low.



The low after the last high was never confirmed, because price failed to make a new high after it. The trend's real invalidation level was the earlier, confirmed higher low. When a candle closes below it, the uptrend is over by definition — and the next rally stalls as a lower high.

From the moment of that close, the pullback trader stops looking for longs. Not "reduces size", not "looks for stronger triggers": stops. The market may resume the uptrend later, but if it does, it will have to build new higher highs and higher lows first, and you will see it.

KEY POINT

An uptrend ends on a close below the last confirmed higher low. From that close, there are no pullback longs until a new uptrend is built.

The warnings before the break

The structure break is late by design. It waits for proof. Before it arrives, the market often gives earlier, softer warnings — the character changes Lesson 5 described. They do not end the trend, but they should make you more selective.

- **Shrinking impulses.** Each push to a new high is shorter than the one before.
- **Deepening pullbacks.** Pullbacks that used to stop at the 20 EMA now reach the 50, or beyond.
- **Flattening averages.** The 20 and 50 EMAs lose their slope and start to converge.
- **Failure to make a new high.** The latest rally stalls at or below the previous high — a "lower high in waiting".
- **Counter-trend muscle.** The largest candles on the chart start pointing against the trend.

When two or three of these appear together, a sensible response is to take only the very best setups — strong confluence, clean trigger, ample reward — or to stand aside until the picture clears. When the structure break arrives, the question is settled.

After the break: the strategy can change sides

A broken uptrend is not automatically a downtrend. A downtrend needs its own credentials: a **lower high** and a **lower low**. Until both exist, the market is in no-man's-land, and the pullback strategy has nothing to offer on either side.

Once they do exist, the strategy simply turns around. The new downtrend has impulses and pullbacks of its own, and the first pullback into a lower high is a pullback sell under exactly the same rules.



The uptrend breaks its last higher low and makes a lower low. The rally that follows stalls under the old support, at the 50 EMA, and prints a bearish rejection — the first lower high. Only now, with both a lower high and a lower low, is the strategy allowed to sell.

Notice the order. The trader did not sell the break itself; that would be chasing in the opposite direction. They waited for the new trend to form its first lower high, then applied the full playbook: zone, trigger, stop beyond the swing, target at the recent low.

Ranges: where the strategy fails

The most expensive environment for a pullback trader is not a reversal. It is a **range**. Reversals at least end the argument with a clear structure break. Ranges keep the argument going for weeks.

A range is easy to describe once it is obvious: price oscillating between a ceiling and a floor, highs roughly equal, lows roughly equal, the moving averages flat and weaving through the candles. The trouble is that a range often begins looking exactly like a trend pausing. The first move down from the ceiling looks like a pullback. The bounce from the floor looks like a trigger. The trader buys — and the "new high" never comes.



After the last higher high, the market stops trending: three rallies fail at the same ceiling and the averages flatten. A trader still treating every dip as a pullback buys the floor, targets a new high that never comes, and is stopped when the floor gives way.

How to recognise a range early

You do not need to wait for three touches of each boundary. Watch for these, in roughly this order:

1. **The trend fails to make a new extreme.** After a pullback, the next rally stops at or just below the prior high. One equal high is a warning; two is a pattern.
2. **The averages flatten.** The 20 EMA loses its slope and starts crossing the 50. Lesson 4's filter switches off.
3. **Pullbacks become symmetrical.** The moves down are as large and fast as the moves up. Impulse and correction are no longer distinguishable.
4. **Triggers stop following through.** Rejection candles appear, but the next few candles go nowhere.

When the first two appear together, the strategy is suspended. Not because a range cannot be traded — it can, with a different strategy — but because a pullback strategy in a range is a method buying the top of the floor and hoping for a ceiling that is not there.

COMMON MISTAKE

Reading equal highs as "the trend is just resting". A trend that has stopped making new highs has, for the moment, stopped trending. The strategy acts on what the structure *is*, not what it used to be.

A wick is not a break

The opposite mistake is declaring every trend over the moment price pokes below a level.



The pullback's wick spikes below the last confirmed higher low, but the candle closes back above it. On the closing-basis rule, the uptrend is intact — and it resumes. Note the separate question: a pullback this deep is still too deep to be a good entry, even though the trend survives.

That chart contains a useful distinction. **The trend's status** and **the setup's quality** are separate questions. The trend survived, so a trader holding a long from earlier, with a structural stop below the higher low and a buffer, would still be in. But a new entry here, after a pullback of nearly the whole impulse, is poor value under Lesson 6's depth rule. Answer each question on its own.

Practice drill



The trend was up. A sharp decline followed, and now price has bounced and printed a bullish pin bar near the 20 EMA. Trade or no trade?

THE REVEAL



THE ANSWER

No trade. Several candles closed well below the last confirmed higher low, so the uptrend ended by definition. The bounce is the market testing broken support from below, and the pin bar is a long signal in a market that no longer has an uptrend. It stalled as a lower high and the decline continued. If anything, this was the start of a potential downtrend setup — once a lower high is confirmed.

Going deeper

Why closing-basis rules. Using closes rather than wicks costs you a little: a genuine break is recognised one candle later than an intrabar rule would show. In exchange, you avoid being shaken out by the probes below obvious levels that markets produce constantly. For a strategy whose stops already sit beyond the trigger, it is a good trade-off.

Timeframe matters, again. A structure break on H1 is a pullback on the daily chart more often than not. When the H1 trend breaks, the pullback strategy stops trading H1 longs. That says nothing about the daily trend, which may be offering a perfectly good pullback zone of its own a little lower. This is Lesson 9's alignment logic applied to endings.

Change of character versus break of structure. Some frameworks distinguish an early "change of character" (the first counter-trend break of minor structure) from a full break of the major trend structure. In plain terms: a lower-timeframe structure break is an early warning; a break of the trend timeframe's last confirmed swing is the verdict. You will see both terms used. The chart is the same either way — price first, framework second.

Hypothetical cost of range trading with a trend method. Suppose, illustratively, a trader keeps taking pullback trades through a three-week range and takes six trades: two reach 1R before reversing (closed at breakeven), four are stopped for −1R each. That is −4R in a period where the method's core assumption was false. The filter rules exist to prevent exactly this sequence — not by being clever, but by switching the strategy off.

Not every range is obvious in real time. You will sometimes take one or two trades at the start of a range before the evidence becomes clear. That is a normal, budgeted cost. The error is taking the fourth and fifth.

THE RULES

- An uptrend ends on a candle close below the last confirmed higher low; a downtrend ends on a close above the last confirmed lower high.
- After a break, take no trades in the old direction. Trade the opposite direction only after a new lower high and lower low (or higher low and higher high) exist.
- Suspend the strategy when the trend fails to make a new extreme and the 20/50 EMAs flatten or cross.
- A wick beyond the level that closes back inside is not a break — but the trend's status and the setup's quality are separate questions.

Summary

- A trend ends on a close beyond its last confirmed swing; a candidate low that was never followed by a new high is not that level.
- Softer warnings — shrinking impulses, deeper pullbacks, flattening averages — call for selectivity before the break arrives.
- After a break, the strategy waits for a new trend to form, then can trade in the new direction from its first pullback.
- Ranges are the strategy's most expensive environment; equal highs plus flat averages switch it off.
- Wicks through a level are not breaks, but surviving the wick does not make a too-deep pullback a good entry.

CHECK YOURSELF · ANSWERS AT THE BACK

1. When is an uptrend objectively over under this course's rules?

   A. When a red candle appears

   B. When price closes below the last confirmed higher low

   C. When the RSI falls below 50

   D. When price touches the 50 EMA

2. A pullback low formed after the last high, but price has not yet made a new high since. What is that low?

   A. A confirmed higher low

   B. A candidate — not yet confirmed; the earlier confirmed higher low is still the trend's invalidation level

   C. A lower low

   D. Irrelevant

3. The uptrend has just broken. When may the pullback trader look for sells?

   A. Immediately, on the break candle

   B. After a new lower high and lower low have formed — then on a pullback into the lower high

   C. Never

   D. Only after the 200 EMA crosses

4. Three rallies have stalled at the same ceiling and the 20 and 50 EMAs are flat and crossing. What should the pullback trader do?

   A. Buy the next dip — the trend is resting

   B. Suspend the strategy; this is a range

   C. Double the size to catch the breakout

   D. Use a wider stop

5. A pullback's wick pierces the last confirmed higher low but the candle closes back above it. Which statement is correct?

   A. The trend is over

   B. The trend is intact, but a new entry after such a deep pullback may still be poor value

   C. The trend is intact and this is the best possible entry

   D. The level must be redrawn at the wick

Capstone — The Complete Pullback Playbook.

MODULE 4 — KNOWING WHEN TO STOP, AND THE PLAYBOOK · LESSON 11

Run the whole strategy end to end — trend, pullback, zone, trigger, stop, target, size — on three full worked trades, including a loser, using the strategy passport and the pre-trade checklist.

You now have every piece. This final lesson puts them in order and runs them, start to finish, on three complete trades: two that work and one that does not. Then it gives you the two documents you will actually use day to day — the **strategy passport**, which fits the whole method on one page, and the **pre-trade checklist**, which you run before every single entry.

Nothing here is new. That is deliberate. A strategy you can trade is not a collection of clever ideas; it is a short sequence of plain questions answered honestly, in the same order, every time.

The playbook in ten steps

Before the session

1. **Choose your timeframes.** One for trend and zone, one for the trigger, at a ratio of roughly four to six (Lesson 9). Write them down and do not change them mid-trade.
2. **Classify the trend** on the higher timeframe using swing structure: higher highs and higher lows, lower highs and lower lows, or neither (Lesson 2). Confirm with the 20 and 50 EMAs (Lesson 4). Neither? Stop here for this market.
3. **Check for a range or an ending.** Has the trend failed to make a new extreme? Are the averages flattening? Has a confirmed swing broken on a close (Lesson 10)? If so, stop.

When a pullback begins

4. **Judge the pullback's character.** Slower and smaller than the impulse, mixed candles, last confirmed swing intact (Lesson 5)? If the counter-move is out-muscling the trend, stop.
5. **Mark the zone.** The overlap of the 20–50 EMA band, the most recent broken swing level and the 38–62% retracement of the last impulse (Lesson 6). Write its edges down. Set an alert.
6. **Measure the reward in advance.** From the middle of the zone to the prior high or low, against a stop beyond the zone. If it cannot reach 1.5R, the setup is unlikely to be worth taking.

When price reaches the zone

7. **Wait for a trigger** on the lower timeframe: a rejection candle closing back in the trend direction, or a close through the pullback's own structure or line (Lesson 7). No trigger, no trade.
8. **Place the stop** a small buffer beyond the trigger or the pullback extreme (Lesson 8). Never closer.

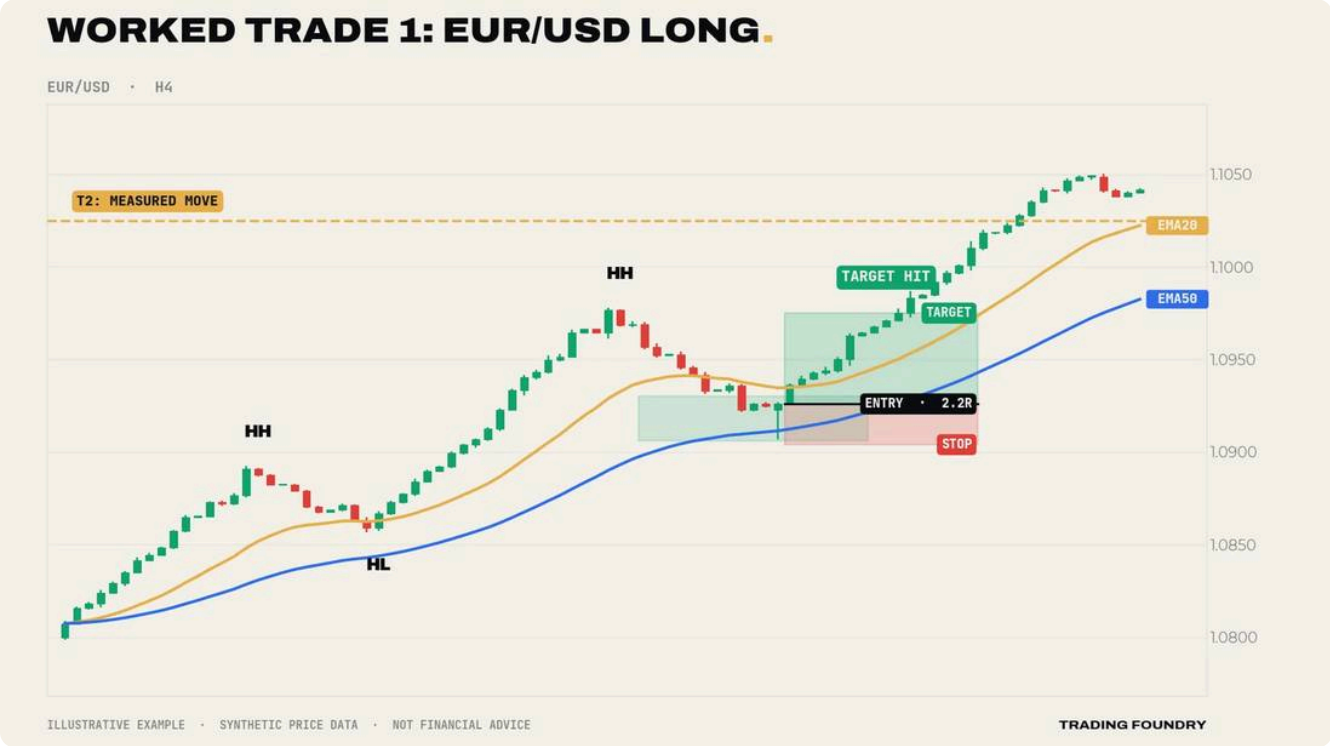
9. **Set the target** — first target at the prior high or low, and decide in advance whether the rest runs to a measured move, a fixed R multiple or a trailing stop.
10. **Size the position** so that a stop-out costs your fixed fraction of the account, illustratively 0.5–1%. Enter. Record the plan.

KEY POINT

Every step is a gate. A "no" at any of them ends the process. Most of the time, you will stop somewhere before step 7 — and that is the strategy working.

Worked trade 1 — the textbook long

An illustrative EUR/USD setup, trend and trigger both read from the four-hour chart to keep it simple.



Trend: higher highs and higher lows, 20 EMA above a rising 50. Pullback: slow, roughly half the impulse, into the 50 EMA. Trigger: a pin bar closing near its high inside the zone. Stop below the wick; first target the prior high at about 2.2R; the remainder aimed at the measured move.

Walking it through the steps:

- **Trend (2–3).** Two higher highs and a confirmed higher low; the 20 EMA above a rising 50. No equal highs, no flattening. Trend confirmed.
- **Character (4).** The impulse took about 20 candles to cover 117 pips; the pullback took 12 candles to give back about 55, with mixed colours and no large red candles. Healthy.
- **Zone (5).** The 50% retracement of the impulse is roughly 1.0917; the 50 EMA is close by; the old high from the first leg, around 1.0890, sits just below. Zone: about **1.0906–1.0930**.

- **Reward check (6).** From the middle of the zone to the prior high at 1.0975 is roughly 55 pips. With a stop beyond the zone, comfortably above 1.5R.
- **Trigger (7).** A pin bar with a 16-pip lower wick and a close in the top fifth of its range, inside the zone.
- **Stop (8).** Three pips under the wick: **1.0904**. Entry on the close at **1.0926**. Risk 22 pips.
- **Target (9).** T1 at the prior high, **1.0975** — 49 pips, about 2.2R. Half closed there, stop on the rest moved to breakeven; remainder aimed at the measured move, about 1.1025.
- **Size (10).** Illustratively, 1% of a £10,000 account is £100; £100 ÷ (22 × about £7.50) ≈ 0.6 lots.

The trade reached T1 and later the measured move. The point is not that it won. The point is that every number was known before the trigger closed.

Worked trade 2 — a short in gold

The method is identical in a downtrend and on a different instrument. For gold the chart is in pips of 0.10, so a 300-pip move is 30 dollars.



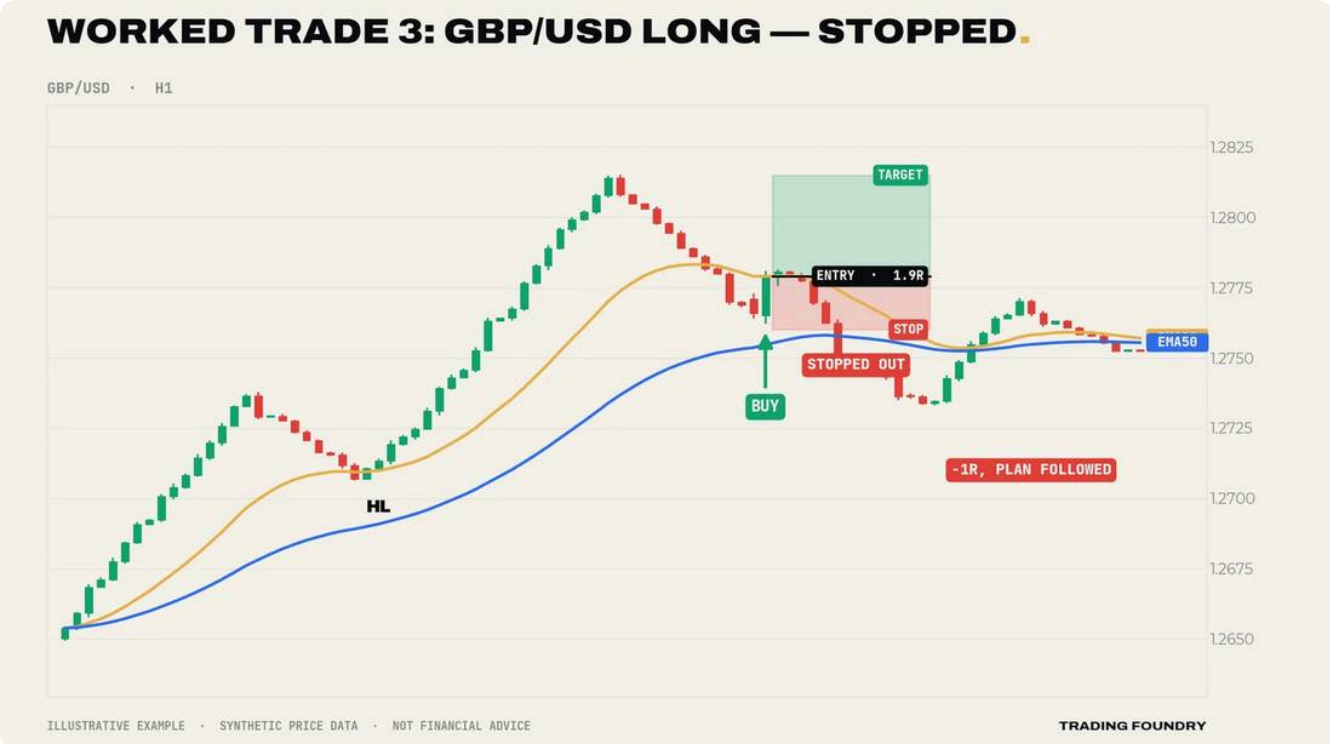
Lower highs and lower lows, 20 EMA below a falling 50. The rally retraces about half the last decline into the 50 EMA, just under the old low. A bearish engulfing closes near its low: sell the close, stop above its high with a buffer, first target the prior low.

- **Trend.** Lower highs and lower lows; 20 EMA below a falling 50.
- **Character.** The decline from 2374 to 2361 was fast and one-sided; the rally back is slower, with overlapping candles.
- **Zone.** 50% of the last decline is about 2367.5; the 50 EMA is close; the old low at 2369 now sits just above as potential resistance. Zone: about **2366–2369**.

- **Trigger.** A bearish engulfing candle that swallows the previous green candle and closes near its low at **2365.8**.
- **Stop.** Above the engulfing high (2368.1) plus a buffer: **2368.6**. Risk 2.8 dollars per ounce — 28 chart pips.
- **Target.** Prior low at **2361.0**, 48 pips away: about 1.7R. Above the 1.5R minimum, though not by a wide margin — a reason to take T1 in full rather than hope for more.
- **Size.** Same £100 risk; the position is whatever size makes 28 pips on gold cost £100 on your platform. Gold's pip value differs from EUR/USD's; always calculate it, never assume.

Worked trade 3 — the loser

Losses are part of the method. Here is one, run by the same rules.



Every gate passed: uptrend, healthy pullback to the 50 EMA and the 50% level, a strong bullish engulfing. Two candles later, sellers returned and the stop went. The loss was 1R, exactly as planned, and the trader was out long before the market's direction became clear.

What went right: the trend was objectively up; the pullback was orderly and about 45% deep; the trigger was a genuine bullish engulfing in the zone; the stop sat beyond its low with a buffer; the prior high was about 1.9R away; the size was set for a 1% loss.

What went wrong: nothing that the rules could have caught in advance. The engulfing was followed by two weak candles and then a strong move down through the stop. Afterwards the market chopped sideways and never made a new high.

The trader's review should say exactly that: **"Valid setup, valid execution, loss of 1R."** It should not say "pin bars do not work", or "I should have used a wider stop", or "next time I will wait for two triggers". Changing

rules after a single loss is how traders end up with a different strategy every week and no idea whether any of them work.

> COMMON MISTAKE
> Judging a trade by its outcome. A loss taken on a valid setup with the planned stop is a good trade. A win taken on a chased entry with no stop is a bad one that happened to work.

Reviewing your trades

Keep a simple record for every setup you **consider**, not only those you take. For each, note:

- Date, pair, timeframes, direction.
- Which gate it stopped at, or that it passed all ten.
- Entry, stop, first target, R to first target, size.
- Outcome in R, and a screenshot at entry and at exit.
- One line: did I follow the plan? Yes or no.

After 30–50 recorded setups, look for patterns, not anecdotes. Do trades from deep pullbacks behave differently from shallow ones? Do structure-break triggers do better than pin bars for you? Are you consistently skipping steps on Friday afternoons? That evidence — not a single painful loss — is what earns a rule change.

A hypothetical illustration of why the record matters: suppose over 40 trades a trader averages +2.1R on winners and −1R on losers. With 14 winners and 26 losers, the total is 14 × 2.1 − 26 = +3.4R. With 12 winners it is −0.8R. The difference between those two outcomes is two trades out of forty. Without a record, nobody can tell which world they are in. These numbers are invented for illustration and say nothing about how the strategy will perform for you.

Final practice drill



Downtrend on H4. The rally has climbed in a staircase of higher lows, drawn with a line beneath them. The last candle has just closed. Run all ten steps: trade or no trade?

THE REVEAL



THE ANSWER

Trade (short). Trend: lower highs and lower lows, 20 EMA below a falling 50. Pullback: a slower staircase of higher lows retracing about half of a 178-pip impulse, into the 20–50 EMA band. Trigger: a candle closing about 11 pips below the pullback's own rising line. Stop above the pullback high plus a buffer: 31 pips. First target: the prior low, about 59 pips away — roughly 1.9R. Size for 0.5–1% risk. In this illustration the trend resumed; with identical inputs it could equally have stopped out for 1R.

The strategy passport

Everything above, on one page. Print it, or keep it next to your charts.

- **Market:** liquid FX pairs and gold on H1 to D1, with confirmed higher highs and higher lows (or the reverse) and the 20 EMA above a rising 50 (or below a falling 50).
- **Wait for:** a pullback slower and smaller than the impulse, reaching the 20–50 EMA band, the most recent broken swing level or the 38–62% retracement — ideally two of the three — while the last confirmed swing holds.
- **Trigger:** a rejection candle (pin bar or engulfing) closing back in the trend direction from the zone, or a close through the pullback's own last swing or counter-trend line. Closed candles only.
- **Stop:** a small buffer beyond the trigger or pullback extreme (default), or beyond the last confirmed swing (structural). Never in empty space.
- **Target:** the prior high or low first; the remainder to a measured move, fixed 2–3R or a trailing stop beneath new swings. Minimum 1.5R to the first obstacle.
- **Size:** a fixed fraction of the account per trade, illustratively 0.5–1%, calculated from the stop distance.

- **Avoid:** ranges and flat or tangled averages; pullbacks that close beyond the last confirmed swing; counter-moves larger and faster than the impulse; higher-timeframe disagreement; major higher-timeframe levels inside 1.5R.

The pre-trade checklist

Run it before every entry. Every box must be ticked.

PRE-TRADE CHECKLIST

☐ Higher timeframe shows higher highs and higher lows (or lower highs and lower lows) on confirmed swings

☐ 20 EMA is on the correct side of the 50 EMA and both slope in the trend direction

☐ The trend has made a new extreme recently — no equal highs or lows, no flattening averages

☐ No candle has closed beyond the last confirmed higher low (or lower high)

☐ The pullback is slower and smaller than the impulse before it, with mixed candles

☐ The pullback has reached a zone where at least two of: 20–50 EMA band, broken swing level, 38–62% retracement overlap

☐ The pullback has not retraced beyond about 79% of the impulse

☐ A trigger has closed: rejection candle from the zone, or a close through the pullback's structure or line

☐ Lower-timeframe trigger is in the higher timeframe's direction

☐ Stop is beyond the trigger or pullback extreme, plus a buffer — not moved closer to improve the ratio

☐ First target (prior high or low) is at least 1.5R away, with no major higher-timeframe level in between

☐ Position size makes a stop-out cost the planned fraction of the account

☐ Plan written down: entry, stop, T1, what happens to the remainder

THE RULES

- Every step of the playbook is a gate; a "no" at any step means no trade.
- Trend first, pullback second, zone third, trigger fourth — never out of order.
- Stops come from the chart; size comes from the stop; targets must clear 1.5R to the first obstacle.
- No trades in the old direction after a structure break; no trades in a range.
- Judge trades by whether the plan was followed, not by their outcome. Change rules only on evidence from many recorded setups.

Going deeper

Make it yours, carefully. The rules in this course are a sound, conservative baseline. Over time you may want to adjust them: a different EMA pair, a tighter depth band, only structure-break triggers. Do it one change at a time, record at least 30 setups under the new rule, and compare like with like. Changing three things at once makes it impossible to know which one helped.

Market regimes. Trend strategies have seasons. During long ranging periods the strategy will produce few setups and several small losses; during strong trending periods it will produce many. Neither season tells you much on its own. Risk control is what lets you survive the quiet seasons to trade the good ones.

News and sessions. Major scheduled data can turn a perfectly good pullback into a spike through your stop in seconds. Many traders simply avoid new entries in the half hour around high-impact releases for the currencies they trade, and avoid holding very tight trigger stops through them.

What success looks like. Not a high win rate. A trader running this method well will typically lose on a meaningful share of trades, skip far more setups than they take, and make their results from the trades that run to 2R and beyond. If your records show you following the plan, keeping losses at 1R and letting winners reach their targets, you are doing it right — whatever the last five trades did.

Summary

- The playbook is ten gated steps: timeframes, trend, range or ending check, pullback character, zone, reward check, trigger, stop, target, size.
- Worked trades show the same logic long and short, on currencies and gold — and that a perfectly executed trade can still lose 1R.
- Record every setup you consider, judge trades by plan adherence, and change rules only on evidence from many trades.
- The strategy passport and the pre-trade checklist are your daily tools. Every box, every time.

CHECK YOURSELF · ANSWERS AT THE BACK

1. At which step should most potential trades end?

   A. At the entry

   B. At one of the gates before the trigger — trend, ending, character, zone or reward

   C. At the stop-loss

   D. They should all be taken

2. A setup passed every gate and lost 1R. What should the review say?

   A. Pin bars do not work

   B. Valid setup, valid execution, planned 1R loss

   C. Use a wider stop next time

   D. Double size on the next trade

3. In worked trade 2 (gold), why is the trader advised to take the first target in full?

   A. Gold always reverses at the prior low

   B. The reward to the first target is only about 1.7R — acceptable but not generous

   C. Gold pips are worth more

   D. Shorts must always use one target

4. Which item is NOT on the pre-trade checklist?

   A. First target at least 1.5R away

   B. A trigger has closed

   C. RSI is below 30

   D. Position size set from the stop distance

5. You want to change the trigger rule after a run of losses. What is the sound approach?

   A. Change it immediately and add two more filters

   B. Change one thing, record at least 30 setups under the new rule, then compare

   C. Stop using stops

   D. Increase risk to recover faster

6. A trader's records show 40% winners averaging 2.2R and losers held to 1R. Under these hypothetical numbers, what is the expectancy per trade?

   A. −0.12R

   B. +0.28R

   C. +0.88R

D. +1.2R

Strategy passport.

The whole setup on one page. Print it and keep it by your screen.

MARKET

Liquid FX pairs and gold on H1–D1, in a market with confirmed higher highs and higher lows (or the reverse) and the 20 EMA above a rising 50 EMA (or below a falling one)

WAIT FOR

A pullback that is slower and smaller than the impulse before it, reaching the 20–50 EMA band, prior structure or the 38–62% retracement — ideally two of the three — while the last higher low (lower high) holds

TRIGGER

A rejection candle closing back in the trend direction from the zone, or a close through the pullback's own small swing or counter-trend line

STOP

A few pips beyond the pullback's extreme (trigger stop), or beyond the last confirmed swing (structural stop) — never in empty space

TARGET

The prior swing high/low first, then a measured move or fixed 2–3R; minimum 1.5R to the first obstacle or no trade

AVOID

Ranges with flat, tangled EMAs; pullbacks that break the last higher low on a close; counter-trend moves larger and faster than the impulse; higher-timeframe disagreement; entries more than 1R from structure

Quiz answers.

Lesson 1, Q1: B. The trend did continue, so the direction was right. Buying at the most stretched point of a leg, with a stop in empty space, is the chaser's real mistake.

Lesson 1, Q2: B. A pullback is the trend's breathing phase. If it breaks the last higher low, it is no longer an ordinary pullback.

Lesson 1, Q3: B. Entering near the pullback low keeps the stop small and meaningful, while the trend's next leg is still available as the reward.

Lesson 1, Q4: B. First establish a trend, then confirm it is a pullback rather than a reversal, then check location, then wait for evidence the pullback is ending.

Lesson 1, Q5: C. This is a range. Range trading is a different strategy; the pullback strategy needs a trend and has no business here.

Lesson 2, Q1: B. Indicators can support the read, but the definition is structural: a sequence of higher highs and higher lows.

Lesson 2, Q2: C. Until price closes above the prior high, the low is only a candidate. The close proves the trend continued from that low.

Lesson 2, Q3: C. Breaks are judged on closes. A wick through the level that closes back above is a test.

Lesson 2, Q4: C. One lower low and one lower high is not yet two of each, and the earlier higher high contradicts them. Mixed swings mean no trend.

Lesson 2, Q5: B. It is the trend's invalidation level — the basis for stops, management and deciding when the trend has ended.

Lesson 3, Q1: C. Any two points make a line. A later third touch that respects the line is what gives it meaning.

Lesson 3, Q2: B. Structure decides. A broken line with an intact higher low means the pace has changed, not the trend.

Lesson 3, Q3: B. A downtrend line runs across the lower highs, above price.

Lesson 3, Q4: B. Lines mark where to pay attention. Entries need evidence, such as a rejection candle or a break of the pullback's own structure.

Lesson 3, Q5: B. You may draw a new line for a new pace, but never to pretend a break did not happen.

Lesson 3, Q6: B. The upper rail shows where legs have tended to pause. A target far beyond it is optimistic for this trend's rhythm.

Lesson 4, Q1: B. They filter the market into tradeable and untradeable regimes. Entries come from triggers, not from the averages.

Lesson 4, Q2: B. All four conditions — position, order, slope and structure — must pass.

Lesson 4, Q3: C. Flat, braided averages describe a range. A good candle does not rescue a failed filter.

Lesson 4, Q4: B. Stacked filters that agree with each other are paying three tolls for one road. Choose one regime filter.

Lesson 4, Q5: B. A filter's wager is that the trades it removes would, as a group, do worse than those it keeps. Some good trades are lost along the way.

Lesson 5, Q1: B. Slower than the impulse, well under two-thirds of it, and made of mixed candles: textbook healthy behaviour.

Lesson 5, Q2: C. When the counter-move is faster and stronger than the trend, sellers are acting with conviction.

Lesson 5, Q3: B. Rhythm is the warning; structure is the verdict. Fading rhythm calls for defence, not reversal.

Lesson 5, Q4: C. If the higher low breaks on a close, the uptrend is over by definition and the trade idea is void.

Lesson 5, Q5: B. The trigger rules require a genuine rejection or a structural break of the pullback, not a change of colour.

Lesson 6, Q1: B. The impulse is 120 pips; half of that is 60 pips; 1.2720 minus 60 pips is 1.2660.

Lesson 6, Q2: B. Shallow pullbacks are typical of strong trends. Insisting on a 50–62% retracement in that kind of trend usually means never getting in.

Lesson 6, Q3: B. Confluence — two or three independent tools pointing at the same area — is what makes a zone worth waiting at.

Lesson 6, Q4: C. The zone tells you where to watch. Entry requires a trigger. Arrival on a strong red candle is often followed by an overshoot.

Lesson 6, Q5: B. Beyond about 79% the setup becomes poor value. It is not proof of reversal — that needs the higher low to break — but it is reason enough to skip.

Lesson 7, Q1: B. A trigger provides both the evidence and the precise point at which that evidence is disproved — which is where the stop goes.

Lesson 7, Q2: B. Long lower wick, close near the high, inside the zone. Equal wicks show indecision, not rejection.

Lesson 7, Q3: B. Slow drifts rarely produce convincing rejection candles. A close above the pullback's own line or last lower high is cleaner.

Lesson 7, Q4: B. No trigger guarantees a win. Its purpose is a small, defined loss when wrong, so winners can pay for losers over many trades.

Lesson 7, Q5: B. Triggers are judged on closed candles. Many 'perfect' pin bars change shape in the final minutes.

Lesson 7, Q6: B. A valid trigger with poor reward is still a poor trade. Moving the stop to manufacture R puts it in meaningless space.

Lesson 8, Q1: B. The trigger stop sits where the evidence that the pullback ended would be contradicted, plus a small buffer.

Lesson 8, Q2: B. Stop placement comes from the chart; size adjusts to fit it. If the numbers still do not work, the trade is skipped.

Lesson 8, Q3: C. Project the impulse length from the pullback low: 1.2700 + 120 pips = 1.2820.

Lesson 8, Q4: B. 30 pips of risk and 30 pips to the first obstacle is 1R. Under the 1.5R minimum, the trade is skipped.

Lesson 8, Q5: B. Risk = £80. £80 ÷ (40 × £8) = 0.25 lots.

Lesson 8, Q6: B. Each new confirmed higher low is a fresh invalidation level. The stop moves up beneath it and never moves back down.

Lesson 9, Q1: B. The higher timeframe decides whether and where; the lower timeframe decides when, and offers a tighter stop.

Lesson 9, Q2: B. Lower-timeframe triggers are only taken in the higher timeframe's direction. Here the H1 'uptrend' is the H4 pullback.

Lesson 9, Q3: C. A ratio of roughly four to six keeps the two charts distinct without making the lower one pure noise.

Lesson 9, Q4: B. A higher-timeframe pullback is a lower-timeframe counter-trend. Its end shows as that small structure breaking.

Lesson 9, Q5: B. A major higher-timeframe level in the way caps the realistic reward at under 1R here, so the trade is skipped.

Lesson 10, Q1: B. The definition is structural and on a closing basis: a close below the last confirmed higher low ends the uptrend.

Lesson 10, Q2: B. A higher low is confirmed only when price goes on to make a new higher high after it.

Lesson 10, Q3: B. A broken uptrend is not yet a downtrend. Selling the break is chasing. The strategy waits for downtrend credentials and then sells a pullback.

Lesson 10, Q4: B. Equal highs and flat, crossing averages describe a range. The pullback strategy has no trend to work with.

Lesson 10, Q5: B. On a closing basis the trend survives. The setup's quality is a separate question — a near-100% retracement fails the depth rule.

Lesson 11, Q1: B. Most markets most of the time fail at least one gate. Stopping early is the strategy working.

Lesson 11, Q2: B. Valid trades lose regularly. Changing rules after a single outcome destroys the evidence a record is meant to provide.

Lesson 11, Q3: B. A setup only just above the 1.5R minimum leaves little margin, so banking the first target is the conservative choice.

Lesson 11, Q4: C. The strategy uses structure, moving averages, retracement and candle triggers — no oscillator thresholds.

Lesson 11, Q5: B. One change at a time, judged on a meaningful sample, is the only way to know whether the change helped.

Lesson 11, Q6: B. $0.4 \times 2.2 - 0.6 \times 1 = 0.88 - 0.60 = +0.28$R per trade. Hypothetical numbers, used only to show the arithmetic.